



Dak Guru

A Self Learning Portal

www.dakguru.com

POSB (CBS) Manual

(Corrected up to 31.12.2021 and subsequent orders)

DISCLAIMER: *This booklet has been prepared strictly from an examination point of view. While every effort has been made to ensure accuracy and the inclusion of recent changes, amendments, and updates to the relevant Acts, Rules, and Regulations, this document is intended as a study aid only. Readers and students are strongly recommended to refer to official government sources or gazettes for the most reliable and authoritative information.*

POSB (CBS) Manual

PREFACE

The rules in this version of Manual should be followed by all the CBS Post Offices and RICT — CBS Branch Post Offices. These rules apply to the Post Office Savings Accounts and, also mutatis mutandis, to:

- (1) Post Office Savings Account
- (2) National Savings Recurring Deposit Account
- (3) National Savings Time Deposit Account
- (4) Public Provident Fund Account
- (5) National Savings Monthly Income Account
- (6) Senior Citizens Savings Scheme
- (7) Kisan Vikas Patra
- (8) National Savings Certificates (VIII Issue)
- (9) Sukanya Samriddhi Account

CHAPTER 1: GENERAL INSTRUCTIONS

1. Savings Bank Offices

- (1) All Head Offices (H.O.), Sub-Offices (S.O.) and Branch offices (B.O.) with the exception of those which are not vested with Saving Bank powers or from which the Savings Bank powers have been withdrawn by the Head of Circle are Savings Bank offices.
- (2) The facilities of deposits and withdrawals by **cheque** are available only in Head and Departmental Sub Offices.

(3) The facilities of deposits only by cheques and demand drafts are available at **Branch Offices** (subject to realization).

STATUTORY UPDATE (2025): e-KYC Rollout

Introduction of Paperless KYC (e-KYC):

Effective **06.01.2025**, the Government of India has introduced a paperless KYC (e-KYC) process for Post Office Savings Bank (POSB) account opening and transactions using **Aadhaar Biometric Authentication**.

- **Phase I:** Covers onboarding of new customers (Creation of CIF) and opening of **Single & Individual Type** Post Office Savings Accounts (POSA).
- **Masking:** Aadhaar Number must be **masked** (first 8 digits) in all documents including AOF and KYC forms.

(Ref: *SB Order No. 01/2025 dated 01.01.2025*)

2. Duties and Responsibilities of the Postmaster

(1) The term 'Postmaster' includes a Sub Postmaster and a Branch Postmaster.

(2) All the duties of the Postmaster in connection with the Savings Bank Department may be performed under the orders of the Head of the Circle by the Deputy Postmaster, Assistant Postmaster or Assistant Sub Postmaster, to whom these may be assigned in the memo of distribution of work except the following which shall be performed by the Postmaster himself:

- (a) Custody of **Pass Books** and **Savings Certificates**.
- (b) Verification of the daily transfer of cash to and from the Savings Bank branch.
- (c) Supervision of the work of the Savings Bank branch to ensure that the rules are strictly followed.

3. Distribution of Work

- (1) In Head Offices and large Sub Offices, the work of the Savings Bank Branch should be distributed among the assistants by the Postmaster.
- (2) One Assistant (Counter Assistant) should be assigned the duty of receipt and payment of cash and entries in the system.
- (3) Another Assistant (Ledger Assistant/Supervisor) should be assigned the duty of verification of transactions and authorizing them in the system.
- (4) **User IDs:** Every official working in CBS software must have a unique User ID. The password shall be kept secret and changed frequently. Sharing of User IDs is strictly prohibited.

4. CBS Pass Book

- (1) A Pass Book in **Form SB-5** (or computer-generated Pass Book) shall be presented by the depositor for every transaction of deposit or withdrawal.
- (2) The Pass Book is for the information of the public and there will be no legal liability of the Department with regard to the balance or transactions shown in the pass book if they differ from the balances in the Government Ledger.
- (3) No transaction should be performed without the production of the Pass Book, except where specifically authorized (e.g., automated credits of interest, salary, etc.).
- (4) The Pass Book should not be stapled so that it can be pass book printer friendly.

STATUTORY UPDATE (2025): Masking of Aadhaar in Passbooks

If the Aadhaar number is written or printed on the Passbook (or any document), it must be **masked** (i.e., XXXX-XXXX-1234). Only the last 4 digits should be visible.

(Ref: *SB Order No. 01/2025 dated 01.01.2025*)

5. Stock Register for CBS Pass Books in Head Post Offices

- (1) The stock of blank Pass Books received from the Circle Stamp Depot (CSD) shall be entered in the Stock Register (**Form SB-4** / Stock Menu in CBS).
- (2) The Postmaster shall verify the physical stock of Pass Books with the balance in the Stock Register **daily**.
- (3) The indent for Pass Books shall be prepared quarterly and sent to the CSD.
- (4) A separate page/register shall be maintained for each type of Pass Book (Savings, RD, TD, SCSS, etc., if distinct).

6. Stock Register of CBS Pass Books in Sub Offices

- (1) For each Sub Post Office, the Divisional Head will fix the **authorized stock** of pass books which should be the average requirement of **two months**.
- (2) The Sub Office will place an indent on the Head Post Office at the beginning of every month for replenishment of stock of pass books up to the authorized limit fixed.
- (3) The indent will be prepared in **duplicate**, one copy being retained in the SO.
- (4) The Head Office will make supplies to the Sub Post Office under separate series of invoice to each Sub Post Office.

7. Transmission of CBS Pass Books

- (1) When a Pass Book is made over by a depositor to a Post Office for dispatch to another post office (e.g., for interest entry or correction), it should be dispatched by **service registered post**.
- (2) A receipt for the registered article shall be given to the depositor.

(3) The transmission of passbooks between Branch Office and Account Office shall be entered in the **B.O. Journal** and **Account Office Journal**.

8. Register of Undeliverable CBS Pass Books

(1) A register of undeliverable passbooks shall be maintained in **Form SB-19** in all Head Offices and Sub Offices.

(2) Passbooks remaining undelivered for a period of **three months** should be treated as unclaimed and sent to the Head Office for safe custody (in case of SOs).

(3) The Head Postmaster shall keep such passbooks in his personal custody and enter them in a separate register.

9. Pay-in-Slip

(1) For every deposit in a Savings Account, Recurring Deposit, Time Deposit, Public Provident Fund Account, Senior Citizens Savings Scheme Account, Sukanya Samriddhi Account or for purchase of Savings Certificates, the depositor shall fill up a Pay-in-Slip in **Form SB-103**.

(2) The Pay-in-Slip shall contain the Account Number, Name of Depositor, Amount in figures and words, the signature of the depositor or messenger and the mode of deposit (Cash / Cheque).

(3) In case of Cheque deposit, the Cheque Number, Date and Name of the Bank shall be mentioned on the Pay-in-Slip.

(4) The counterfoil of the Pay-in-Slip, duly signed and date stamped by the Counter Assistant, shall be returned to the depositor as a receipt.

STATUTORY UPDATE (2025): e-KYC & Paperless Transactions

Deposits in e-KYC Accounts:

(1) For accounts opened/linked with **e-KYC** (Aadhaar Authentication), deposits made by the **Account Holder personally** can be processed through Biometric Authentication without a physical Pay-in-Slip (Paperless).

(2) If the deposit is made by a person **other than the Account Holder**, it will be processed on a **paper-basis** (Pay-in-Slip SB-103 shall be collected).

(Ref: SB Order No. 01/2025 dated 01.01.2025)

10. Preliminary Receipt (SB-26)

(1) When a depositor tenders cash/cheque for opening an account or for subsequent deposit at a Branch Office (BO), the Branch Postmaster shall issue a Preliminary Receipt in **Form SB-26** to the depositor.

(2) The Preliminary Receipt must be prepared in duplicate with carbon paper. The original shall be given to the depositor and the duplicate retained as office record.

(3) The final receipt (entry in Pass Book) shall be given after the transaction is accounted for at the Account Office (for non-RICT BOs) or immediately upon successful transaction (for RICT/DARPAN BOs).

(4) In case of **DARPAN** devices, the system generated receipt shall be issued to the depositor.

11. Receipt for Pass Book (SB-28)

(1) When a Pass Book is taken from a depositor for any purpose (e.g., interest posting, correction, etc.) and cannot be returned immediately, a receipt in **Form SB-28** shall be issued to the depositor.

(2) The Pass Book shall be returned to the depositor only on surrender of the receipt SB-28.

(3) If the depositor has lost the receipt SB-28, the Pass Book may be returned on his giving a letter of indemnity and satisfying the Postmaster about his identity.

12. Supply of Savings Bank Statement of Account

(1) In CBS Post Offices, a Statement of Account can be generated from the system for any specific period.

(2) The Statement of Account shall be supplied to the depositor on payment of the prescribed fee (currently **Rs. 20** plus GST per statement).

(3) For **Check-off** schemes (e.g., PLI/RPLI payments), the statement may be generated for reconciliation purposes.

CHAPTER 2: OPENING OF ACCOUNTS

13. Types of Savings Accounts

(1) The following types of accounts can be opened under Post Office Savings Account Scheme:

- (a) **Single Account:** Opened by an adult or a minor who has attained the age of **10 years**.
- (b) **Joint Account:** Opened by two adults jointly.
 - **Joint 'A':** Payable to both owners jointly or to the survivor.
 - **Joint 'B':** Payable to either of the survivors.
- (c) **Pension Account:** Opened by a Pensioner for crediting pension.
- (d) **Provident Fund/Superannuation Fund/Gratuity Fund Account:** Opened on behalf of the authority administering the fund.

- (e) **Sanchayika Account:** Opened by a School/College. (Note: Sanchayika scheme discontinued, existing accounts to be closed).

STATUTORY UPDATE (2025): e-KYC Limitation

Phase-I Implementation:

Currently, **e-KYC (Aadhaar Authentication)** based account opening is available **ONLY** for **Single** and **Individual** type Post Office Savings Accounts (POSA).

- Joint Accounts and other scheme accounts must be opened via the existing **paper-based process** (creation of CIF via e-KYC is allowed, but account opening menu differs).

(Ref: SB Order No. 01/2025 dated 01.01.2025)

14. Specimen Signature and Photograph

- (1) The depositor shall furnish his/her specimen signature and photograph at the time of opening the account.
- (2) In case of illiterate depositors, the thumb impression shall be attested by a witness known to the Post Office.
- (3) The specimen signature/thumb impression shall be scanned and uploaded to the **Finacle CBS** system during CIF creation.

STATUTORY UPDATE (2025): Biometric vs Wet Signature

- (1) For **e-KYC accounts**, the **Biometric Authentication** (Fingerprint/Iris) acts as the verification.
- (2) However, the depositor must still provide a **wet signature** on the reduced AOF (Account Opening Form) or Consent Form for record purposes and future non-biometric transactions.

(Ref: SB Order No. 01/2025 Para 5)

15. Nomination

- (1) Nomination is mandatory for opening of all types of accounts.
- (2) The depositor may nominate one or more persons (maximum **four**) to receive the amount standing to the credit of the account in the event of death.
- (3) In case of a minor account, nomination shall be made by the Guardian.
- (4) No nomination is allowed in accounts opened on behalf of a minor (by a person other than a Guardian), or for accounts held by or on behalf of a trust/office.

16. Opening of Savings Account

(1) The depositor shall submit the Account Opening Form (**Form SB-3 / AOF**) duly filled in along with:

- (a) **KYC Documents** (Identity and Address Proof).
- (b) **Initial Deposit** (Minimum **Rs. 500** for SB).
- (c) **Photograph** (Two copies).

(2) The Counter Assistant shall verify the documents, create the **CIF** (if not existing), and open the account in the system.

(3) **Funding:** The initial deposit must be funded immediately. If by cheque, the account is opened but remains inactive for withdrawal until cheque clearance.

STATUTORY UPDATE (2025): New Forms

Revised Account Opening Forms (e-KYC):

- **SB-eKYC-1:** Application for Opening of Account (for e-KYC customers).
- **SB-eKYC-AOF:** Account Opening Form (Abbreviated).
- **e-KYC Consent Form:** To be signed by the customer authorizing UIDAI data fetch.

(Ref: SB Order No. 01/2025 dated 01.01.2025)

17. Know Your Customer (KYC) Guidelines

(1) The **Customer Identification File (CIF)** is the primary unit for KYC compliance in CBS.

(2) No account shall be opened without the creation of a CIF and full compliance with KYC norms.

(3) **Risk Categorization:** Customers shall be categorized into **Low, Medium, and High** risk based on the profile.

- **Low Risk:** Balances up to **Rs. 50,000** and annual turnover up to **Rs. 2 Lakhs**.
- **Medium Risk:** Balances > **Rs. 50,000** but < **Rs. 10 Lakhs**.
- **High Risk:** Balances > **Rs. 10 Lakhs** or Politically Exposed Persons (PEPs).

STATUTORY UPDATE (2025): e-KYC Procedures

Adoption of Aadhaar e-KYC:

(1) For **e-KYC** based onboarding (Phase-I), the KYC verification is deemed complete upon successful **Biometric Authentication** with UIDAI.

(2) The system (Finacle) will automatically fetch the demographic details (Name, Address, DOB, Gender, Photo) from UIDAI. These details **cannot be edited** manually.

(3) **Masking:** The Aadhaar number must be masked in the system and on all printed forms (SB-eKYC-AOF).

(Ref: SB Order No. 01/2025 dated 01.01.2025)

18. Acceptance of Initial Deposit (Funding)

(1) The initial deposit for opening an account shall be accepted in **Cash** or by **Cheque**.

(2) Cash Mode:

- * The Counter Assistant shall accept the cash, enter the amount in the system, and generate a **Transaction ID**.
- * The Supervisor shall verify the cash and authorize the transaction.

(3) Cheque Mode:

- * The account is opened with **0 (Zero)** balance (or minimum requirement as lien).
- * The amount is credited only after the **clearance** of the cheque.
- * The date of deposit shall be the **date of clearance** of the cheque.

19. Issue of Pass Book

- (1) A Pass Book shall be issued to every depositor on opening of a new account.
- (2) The Pass Book shall be printed using the **Pass Book Printer** attached to the CBS system.
- (3) **Entries:** The Pass Book must show:
 - * Name of the Post Office
 - * Date of Opening
 - * **Account Number** (10 or 12 digits as per Scheme)
 - * **CIF ID** of the Depositor(s)
 - * Name and Address of Depositor
 - * Mode of Operation (Single/Joint/Minor)
 - * Nomination Registration Number (if applicable)

STATUTORY UPDATE (2025): Passbook Entries

Aadhaar Masking on Passbook:

While printing or manually writing details on the Passbook, the Postmaster must ensure that the **Aadhaar Number is NOT visible**. If printed/written, it must be masked (e.g., XXXX-XXXX-9876).

(Ref: SB Order No. 01/2025)

20. Process in Central Processing Centre (CPC)

- (1) In case of Cheque Clearing, the **CPC** or Nodal Office plays a vital role.
- (2) The CPC shall process the **Inward** and **Outward** clearing files uploaded by the Sub Offices/Head Offices.
- (3) The CPC is responsible for the reconciliation of the **Office Account** (SOL ID + 0382) related to clearing.

21. Procedure for Opening Account at Branch Offices (BO)

- (1) The Branch Postmaster (BPM) shall accept the **Account Opening Form (SB-3)**, KYC documents, and initial deposit.

(2) RICT/DARPAN BOs:

- * The BPM shall initiate the "New Account Opening" request on the DARPAN device.
- * The initial deposit amount is collected and a **Digital Receipt** is generated.
- * The request flows to the Account Office (AO) for verification and approval in Finacle.

(3) Non-RICT BOs:

- * The BPM shall issue a Preliminary Receipt (**SB-26**) and send the documents + cash to the Account Office.

22. Scrutiny of Account Opening Form (AOF)

(1) The Counter Assistant must verify that:

- * The name matches the ID proof.
- * The address matches the Address proof.
- * The photograph is recent and clear.
- * The signature matches the specimen provided.
- * **PAN** is mentioned (mandatory for deposits > Rs. 50,000).

 **STATUTORY UPDATE (2023): PAN/Form 60**

Mandatory PAN/Form 60:

Quoting of **PAN** or submission of **Form 60** is mandatory for the opening of **all** types of accounts, regardless of the deposit amount, to ensure validity under Income Tax Rules.

(Ref: SB Order No. 08/2023)

23. Creation of Joint Accounts

- (1) In the case of a Joint Account, a separate **CIF** must be created for **each** holder.
- (2) The account is then opened by linking the CIFs of all holders.
- (3) The **Primary CIF** determines the tax liability (TDS).

24. Guardianship in Minor Accounts

- (1) For accounts opened on behalf of a Minor, the **Guardian's CIF** must be linked.
- (2) The date of birth of the Minor is a **mandatory field**.
- (3) The system automatically tracks the date of majority. Upon attaining majority (18 years), the account operations are stopped until the status is converted to "Major".

25. Introducer

- (1) The concept of an "Introducer" has been largely replaced by KYC documents.
- (2) However, where an introducer is still required (e.g., for illiterate depositors lacking certain proofs), the introducer must be an existing respectable account holder or a permanent employee of the Post Office.
- (3) The Introducer must sign the AOF in the presence of the Postmaster.

CHAPTER 3: SUBSEQUENT TRANSACTIONS

26. Subsequent Deposits

- (1) For subsequent deposits, the depositor shall present the Pass Book along with the Pay-in-Slip (**Form SB-103**) duly filled in.
- (2) The Counter Assistant shall verify the account number and name in the system and accept the cash/cheque.
- (3) **Mode of Deposit:**
 - * (a) Cash
 - * (b) Cheque/Demand Draft
 - * (c) Electronic Transfer (NEFT/RTGS/IMPS)
- (4) In case of deposits by **Cheque**, the date of deposit shall be the **date of clearance** of the cheque.
- (5) A remark regarding the mode of deposit (Cash/Cheque/Transfer) shall be made in the system and on the Pay-in-Slip.

STATUTORY UPDATE (2025): e-KYC Deposits

Paperless Deposits for Self:

- (1) If the account is linked with **e-KYC** (Aadhaar Seeded), and the **Depositor himself** is present, the deposit can be made through **Aadhaar Biometric Authentication**.
- (2) **No Pay-in-Slip (SB-103)** is required for such "Self" transactions irrespective of the amount.
- (3) If the deposit is made by a **Messenger** (Third Party), a physical Pay-in-Slip is **mandatory**.

(Ref: SB Order No. 01/2025 dated 01.01.2025)

27. Deposit by Cheque

- (1) Cheques drawn on proper banks or on the Post Office Savings Bank may be accepted for deposit.
- (2) Outstation cheques shall be collected through the **clearing mechanism**.
- (3) Collection charges, if any, shall be debited to the account.
- (4) The amount of the cheque shall not be available for withdrawal until it is realized and credited to the account.

28. Withdrawals

- (1) The depositor shall present the Pass Book along with the Application for Withdrawal (**Form SB-7**) signed by him/her.
- (2) In case of literate depositors, the signature on the warrant of payment shall be compared with the specimen signature available in the system.
- (3) The Counter Assistant must verify the **balance** in the account before allowing the withdrawal.

(4) **Minimum Balance:** No withdrawal shall be allowed which reduces the balance below the prescribed minimum (**Rs. 500** for Savings Account).

STATUTORY UPDATE (2025): e-KYC Withdrawals

Biometric Withdrawals:

(1) Withdrawal transactions up to **Rs. 5,000** can be performed via **Aadhaar Biometric Authentication** without a physical withdrawal form (SB-7) if the depositor is present.

(2) For withdrawals **above Rs. 5,000**, the physical Form SB-7 is required even if authenticated via Biometric.

(Ref: SB Order No. 01/2025)

29. Limits on Cash Withdrawals

(1) At Head Offices/Sub Offices:

* There is no maximum limit for cash withdrawal by the depositor himself, subject to availability of cash and satisfactory identification.

* Withdrawals exceeding **Rs. 20,000** shall preferably be paid by Cheque or Transfer.

(2) At Branch Post Offices (GDS BO):

* Maximum cash withdrawal limit per day per account: **Rs. 20,000**.

* Withdrawals above **Rs. 5,000** require the signature of the Branch Postmaster on the back of the withdrawal form (SB-7) and may require sanction from the Account Office in certain cases.

30. Withdrawal by Messenger

(1) If a depositor is unable to attend the Post Office, he may authorize a messenger to withdraw the amount.

(2) The depositor shall sign the **Letter of Authority** printed on the reverse of Form SB-7.

(3) The messenger must produce:

- * (a) The Pass Book.
- * (b) The Form SB-7 duly signed by the depositor.
- * (c) His/Her own **identity proof**.

(4) Payment to a messenger is **not allowed** in case of:

- * (a) Illiterate Depositors.
- * (b) Blind/Physically Handicapped Depositors (who cannot sign).

31. Identification of Depositor

(1) The primary mode of identification is the **Specimen Signature** stored in the CBS system.

(2) If the signature differs or if the Postmaster has any doubt, he may ask for:

- * (a) Fresh Specimen Signature.
- * (b) Production of Identity Proof (Aadhaar/PAN/Voter ID).
- * (c) Presence of a witness known to the Post Office.

STATUTORY UPDATE (2025): Biometric ID

For accounts linked with Aadhaar (e-KYC), **Biometric Authentication** is the highest form of identification and overrides the need for signature verification for the transaction itself (though wet signature is taken for record in high value cases).

32. Payment of Withdrawal

(1) Payment of withdrawal amount shall be made:

- * (a) By **Cash**: Up to **Rs. 20,000**.

* (b) By **Cheque**: For any amount (mandatory for amounts > Rs. 20,000 if requested).

* (c) By **Transfer**: To another POSB account.

(2) The Warrant of Payment (SB-7) must be stamped "Paid" and signed by the Postmaster before cash is handed over.

STATUTORY UPDATE (2025): TDS on Withdrawals

Section 194N (Income Tax Act):

(1) TDS @ **2%** is applicable on aggregate cash withdrawals exceeding **Rs. 20 Lakhs** (for non-filers of ITR) or **Rs. 1 Crore** (for filers) in a financial year.

(2) **Centralized Deduction**: Effective **01.12.2025**, the system (Finacle) automatically calculates and deducts this TDS at the time of withdrawal. The Post Office need not calculate it manually.

(Ref: SB Order No. 16/2025)

33. Updating of Pass Book

(1) The Pass Book must be updated in the **Pass Book Printer** after every transaction.

(2) If the printer is non-functional, the entries may be made manually under the signature of the Postmaster, but must be updated in the system immediately.

(3) **Unposted Items**: When a Pass Book is presented, the Counter Assistant must check for any "Unposted items" (Interest, automated credits) and update them in the Pass Book.

34. Return of Pass Book

(1) After the transaction is complete, the Pass Book shall be returned to the depositor/messenger.

(2) The Postmaster must ensure that the balance in the Pass Book agrees with the balance in the system (after the transaction).

35. Preservation of Vouchers

- (1) The withdrawal form (SB-7) and Pay-in-Slip (SB-103) act as vouchers for the transaction.
- (2) These vouchers shall be sent to the **SBCO** (Savings Bank Control Organization) along with the Daily Returns.

36. Interest Calculation

- (1) Interest in Savings Accounts shall be calculated on the **lowest balance** at credit between the **10th day** and the **last day** of each calendar month.
- (2) Interest shall be credited to the account at the end of each Financial Year (**31st March**).
- (3) No interest shall be allowed on an account for any month in which the balance at credit is below **Rs. 500** at any time between the 10th and the last day of the month.
- (4) If an account is closed during a year, interest shall be allowed up to the end of the month preceding the month in which the account is closed.

37. Closure of Account

- (1) An account can be closed at any time by the depositor by submitting the Pass Book and Application for Closure (**Form SB-7A**).
- (2) The Counter Assistant shall verify the balance in the system including interest due.
- (3) **Closure of Joint Account:** In case of a Joint Account, the application for closure must be signed by **all** the surviving depositors.
- (4) **Closure of Minor Account:** The application shall be signed by the Guardian. The Guardian must certify that the minor is still alive and the amount is required for the use of the minor.

 STATUTORY UPDATE (2025): e-KYC Closure**Biometric Closure (Phase-I):**

(1) For **Single** type Savings Accounts opened/linked with e-KYC, closure can be processed via **Aadhaar Biometric Authentication** if the depositor is present.

(2) Physical Form SB-7A is required for record purposes, but signature verification is replaced by biometric match.

(3) **Payment:** Closure proceeds must be paid by **credit to Bank Account** or **PO Savings Account** primarily. Cash payment is restricted.

(Ref: SB Order No. 01/2025 dated 01.01.2025)

38. Payment of Closure Amount

(1) The amount of closure proceeds shall be paid to the depositor as follows:

* (a) **Up to Rs. 20,000:** By Cash (subject to availability).

* (b) **Above Rs. 20,000:** By Cheque or Credit to another POSB Account only.

(2) The closure amount includes the Principal amount and the Interest due up to the preceding month.

 STATUTORY UPDATE (2025): Centralized TDS**TDS Deduction on Closure:**

Effective **01.12.2025**, if the interest amount exceeds the threshold (e.g., in SCSS/TD), the TDS is deducted automatically by the system and accounted for at the **Central Processing and Reporting Centre (CPRC)**. The Post Office does not need to perform local accounting for TDS.

(Ref: SB Order No. 16/2025)

41. Silent Accounts

- (1) An account in which no deposit or withdrawal has taken place for **three complete financial years** shall be treated as a **Silent Account**.
- (2) The system automatically changes the status of such accounts to "Silent" or "Dormant" at the end of the financial year.
- (3) Transaction in a Silent Account shall be allowed only after **revival** of the account.
- (4) Credit of interest in a Silent Account shall **not** be treated as a transaction for keeping the account active.

STATUTORY UPDATE (2025): Biannual Freezing

Freezing of Inoperative Accounts:

- (1) Matured accounts under schemes like PPF, NSC, KVP, TD, etc., which are not extended or closed for **3 years** after maturity, shall be **frozen**.
- (2) This freezing activity is conducted **twice a year** (July 1st and January 1st).
- (3) Such accounts are flagged as "**INOP – Inoperative > 3 years**" in Finacle.

(Ref: SB Order No. 10/2025 dated 15.07.2025)

42. Revival of Silent Accounts

- (1) A Silent Account can be revived by the depositor by submitting an application along with **KYC Documents**.
- (2) The Postmaster shall verify the KYC and enable the account in the system through the relevant menu (**CFR** or equivalent).
- (3) At least one transaction of **deposit** or **withdrawal** is necessary immediately after revival to make the account "Active".

43. Transfer of Account

- (1) A depositor may transfer his account from one Post Office to another (CBS to CBS).
- (2) The application for transfer (**Form SB-10(b)**) shall be submitted at either the Transferor or Transferee office.
- (3) **Transfer Fee:** A fee of **Rs. 100** plus GST shall be collected from the depositor.
- (4) In CBS, the transfer is electronic and immediate upon approval by the authorized official.
- (5) **Documents Transfer:** The Transferor office must send the Account Opening Form (SB-3) and KYC documents to the Transferee office by Registered Post (Service).

44. Issue of Fresh Pass Book on Transfer

- (1) If the manual entries in the Pass Book are not exhausted, the same Pass Book can be used after transfer.
- (2) The new name of the Post Office shall be entered/stamped in the Pass Book.
- (3) If the depositor requests a fresh Pass Book, it shall be issued on payment of the prescribed fee (**Rs. 10** if not used up, Free if used up).

45. Maintenance of Transfer Journal

- (1) All transfers (Inward and Outward) must be entered in the **Transfer Journal** maintained in the CBS system.
- (2) The Postmaster must verify the Transfer Journal daily to ensure no unauthorized transfers have taken place.

CHAPTER 5: SETTLEMENT OF DECEASED CLAIM CASES

46. Settlement of Claims

(1) Claims for the amount standing to the credit of a deceased depositor shall be settled in favor of:

- (a) **Nominee**, where a valid nomination exists.
- (b) **Legal Heir**, on production of **Probate of Will, Letter of Administration or Succession Certificate** (if no nomination exists).
- (c) **Claimant**, on production of **Letter of Indemnity, Affidavit, and Letter of Disclaimer** (for claims up to the prescribed limit where no nomination/legal evidence exists).

STATUTORY UPDATE (2025): Monetary Limits

Claims without Legal Evidence:

The competent authority can sanction claims without production of legal evidence (Succession Certificate) up to a limit of **Rs. 5,00,000** (Rupees Five Lakhs) per account/registration, subject to the submission of prescribed documents (Bond of Indemnity, Affidavit, etc.).

(Ref: SB Order No. 31/2020 re-iterated in 2024-25 Guidelines)

47. Time Limit for Settlement

(1) The Post Office must ensure speedy settlement of claims. The prescribed timeline is:

- (a) **Nomination Cases:** Settlement within **1 (One) working day** of receipt of complete documents.
- (b) **Other Cases:** Settlement within **7 (Seven) working days** of receipt of complete documents.

(2) No separate sanction memo is required to be issued by the Sub Post Office/Head Post Office. The sanction shall be accorded on the **Claim Form** itself.

48. Payment of Interest in Claim Cases

(1) Interest on the account of a deceased depositor shall be allowed up to the **end of the month preceding the month** in which the account is closed/claim is paid.

(2) **TD/SCSS/MIS:** If the account is closed before maturity due to death, interest shall be paid as per the conditions of the specific scheme (often Savings Account rate or contract rate depending on the period held).

STATUTORY UPDATE (2025): TDS on Deceased Claims

TDS Deduction (Section 194N/194A):

(1) If the claim amount (Interest component) exceeds the threshold for **TDS**, the system (Finacle) will automatically deduct the tax against the **PAN of the Deceased** or the **Claimant** (as per the "Estate of" account procedure if applicable).

(2) For **Cash Settlements** exceeding **Rs. 20 Lakhs/1 Crore**, TDS u/s 194N is applicable. Therefore, claims should preferably be settled by **Cheque** or **Account Transfer**.

(Ref: *SB Order No. 16/2025*)

49. Procedure where Nomination Exists

(1) The Nominee shall submit:

- (a) **Claim Application Form.**
- (b) **Death Certificate** of the depositor (Original or Self-attested copy).
- (c) **KYC Documents** of the Nominee.

(2) The Postmaster shall verify the Nomination details in the system (or physical record) and sanction the claim.

(3) **Witnesses:** If the signature of the nominee is available on the KYC documents, physical presence of witnesses is **not** required.

50. Procedure where Legal Evidence Exists

(1) The Claimant shall submit the original **Succession Certificate, Probate of Will, or Letter of Administration** issued by a competent Court.

(2) The Postmaster shall verify the genuineness of the document and sanction the claim.

(3) No Indemnity Bond is required in such cases.

51. Procedure for Claims without Nomination or Legal Evidence (Up to Rs. 5 Lakhs)

(1) The Claimant (Legal Heir) must submit:

- (a) **Claim Form.**
- (b) **Death Certificate.**
- (c) **Letter of Indemnity** (Form SB-84) on non-judicial stamp paper.
- (d) **Affidavit** (Form SB-14) on non-judicial stamp paper.
- (e) **Letter of Disclaimer** (Form SB-15) from all other legal heirs.

(2) **Local Enquiry:** The Postmaster may conduct a local enquiry to ascertain the legal heirs if deemed necessary, but this should not delay the claim beyond the prescribed limit.

52. Payment of Claim Amount

(1) The sanctioned amount shall be paid to the Claimant/Nominee by:

- (a) **Credit to POSB Account** (Preferred).
- (b) **Cheque** (Account Payee).
- (c) **Cash** (Only if the amount is small and unavoidable, subject to Income Tax rules).

(2) The Claimant must sign the **Acquittance** (Receipt) on the Claim Form or a separate voucher.

53. Claims in Respect of Minors

(1) If the Nominee/Claimant is a Minor, the amount shall be paid to the **Guardian**.

(2) The Guardian must certify that the amount is required for the benefit of the Minor.

54. Missing Persons (Presumption of Death)

(1) Claims in respect of depositors reported missing can be settled only after a period of **7 years** from the date of filing the FIR/Police Report.

(2) The claimant must produce a **Decree of Presumption of Death** from a competent Court.

55. Verification of Sanction

(1) The Inspecting Authorities (IPO/ASP) must check a percentage of sanctioned claim cases during their visit/inspection to ensure adherence to rules.

(2) Any irregularity in sanctioning claims without proper authority or documents shall be viewed seriously.

CHAPTER 6: CHEQUE CLEARING (CTS)

56. Acceptance of Cheques

(1) Cheques drawn on POSB accounts or other Bank accounts may be accepted for deposit in Savings Account, Public Provident Fund Account (PPF), and Sukanya Samriddhi Account (SSA).

(2) **Crossed Cheques:** Only crossed cheques shall be accepted for collection. If an open cheque is presented, the Counter Assistant shall cross it generally before acceptance.

(3) **Third Party Cheques:** Third party cheques (cheques drawn in favour of a person other than the depositor) shall **not** be accepted for collection in POSB accounts.

(4) **Outstation Cheques:** Cheques drawn on non-clearing banks or outstation banks shall not be accepted for clearing unless the Post Office has a collection arrangement with the accredited bank.

57. Cheque Truncation System (CTS) Standards

(1) All cheques accepted for clearing must conform to **CTS-2010 standards**.

(2) Images of the cheques (Front and Back) shall be captured using the **Cheque Scanner** and uploaded to the Clearing House via the Grid/Nodal Branch.

(3) The physical cheques shall be retained by the Presenting Branch (Post Office) and not sent to the Paying Branch.

58. Positive Pay System (PPS)

(1) The **Positive Pay System (PPS)** is a mechanism to reconfirm key details of large value cheques.

(2) The Drawer (Issuer) of the cheque shall submit the details of the cheque (Cheque No., Date, Amount, Payee Name) to the Post Office electronically or physically.

STATUTORY UPDATE (2025): PPS Mandate

Mandatory Limit:

(1) As per RBI guidelines adopted by the Department of Posts, the Positive Pay System (PPS) is **mandatory** for all cheques of **Rs. 10,00,000** (Rupees Ten Lakhs) and above.

(2) For cheques valued between **Rs. 5,00,000** and **Rs. 10,00,000**, the facility is available at the discretion of the account holder.

(3) If the PPS details are not available/mismatched for a mandatory value cheque, it shall be returned with the reason **"PPS Data Not Available/Mismatch"**.

(Ref: SB Order No. 24/2022 and subsequent clarifications)

59. Inward Clearing (Cheques drawn on PO)

(1) The **Central Processing Centre (CPC)** or the Nodal Clearing Branch shall receive the images/data of cheques drawn on Post Office Savings Bank accounts from the Clearing House.

(2) The signatures on the cheques shall be verified against the signatures stored in the **Finacle CBS** system.

(3) **Technical Scrutiny:** The CPC shall verify:

* (a) Date of Cheque (Not stale/Post-dated).

* (b) Amount in words and figures match.

* (c) Stop Payment instructions, if any.

(4) **Posting:** If in order, the amount shall be debited from the drawer's account in Finacle.

60. Outward Clearing (Cheques deposited in PO)

(1) Cheques deposited by customers for credit into their POSB accounts shall be entered in the **Outward Clearing Register**.

(2) The cheques shall be sorted bank-wise/branch-wise and scanned in the **CTS Application**.

(3) **Zonal/Regional Clearing:** The images are transmitted to the Nodal Bank Branch attached to the HO.

(4) **Credit of Proceeds:**

* The amount shall be credited to the depositor's account only after realization.

* The date of credit shall be the date on which the clearance advice/credit is received from the Clearing House (**T+1** or **T+2** basis).

61. Dishonour of Cheques

(1) If a cheque is returned unpaid by the Bank/Post Office, a **Cheque Return Memo** shall be generated stating the reason (e.g., "Funds Insufficient", "Signature Differs").

(2) Dishonour Fee:

* A dishonour fee shall be debited from the depositor's account (Drawer in case of Inward, Depositor in case of Outward if applicable rules say so).

* **Current Rate: Rs. 100** plus GST (Total **Rs. 118**).

(3) The physical cheque (or Image Return Advice) shall be returned to the depositor along with the Return Memo.

62. Validity of Cheque

(1) A cheque is valid for payment only for **three months** from the date of issue.

(2) A stale cheque (older than 3 months) shall be returned with the reason "**Instrument Stale**".

(3) A post-dated cheque shall be returned with the reason "**Instrument Post-dated**".

63. Endorsement on Cheques

(1) "Account Payee" cheques cannot be endorsed in favour of a third party.

(2) Regular endorsements (e.g., for collection) must be signed on the reverse of the cheque.

(3) The Postmaster shall verify the endorsement chain before acceptance.

64. Grid Clearing Process

(1) Under CBS, the clearing is often centralized at the **Circle/Region level** (Grid).

(2) The Sub Offices (SOs) shall send the physical cheques/images to the Head Office (HO) or Nodal Office daily.

(3) The HO consolidates the clearing for the entire group.

65. Preservation of Cheques

(1) **Paid Cheques (Inward):** Shall be preserved in the CPC/HO for a period of **10 Years**.

(2) **Presented Cheques (Outward):** The physical instruments (after scanning) shall be preserved by the Presenting Branch for a period of **10 Years** (as per CTS rules to resolve disputes).

STATUTORY UPDATE (2025): Digital Archival

Scanning of Old Cheques:

Before the destruction of physical cheques (after the preservation period), the images must be archived in the **Electronic Content Management (ECM)** system of the Department.

(Ref: SB Order No. 05/2025)

CHAPTER 7: MISCELLANEOUS SERVICE REQUESTS

66. Issue of Duplicate Pass Book

(1) A duplicate pass book may be issued to a depositor if the original pass book is lost, stolen, destroyed, or mutilated.

(2) The depositor shall submit an application in the prescribed form (**Form SB-41**) duly signed.

(3) **Fee:** The prescribed fee for the issue of a duplicate pass book shall be deposited by the depositor.

(4) Procedure in CBS:

- * The Counter Assistant shall verify the application and the fee paid.
- * The option "**Issue Duplicate Passbook**" shall be selected in the system.
- * A fresh pass book shall be printed with the remark "**Duplicate Issued**" on the first page.
- * The previous pass book series/number shall be marked as "Lost/Destroyed" in the system to prevent misuse.

STATUTORY UPDATE (2024-25): Fees & GST

Revised Charges:

- **Fee: Rs. 50** per passbook.
- **GST: 18%** (Rs. 9).
- **Total Deduction: Rs. 59** is automatically deducted from the account or collected in cash (receipt issued).

(Ref: *SB Order No. 01/2021 read with GST Notification 2024*)

67. Issue of Pass Book in lieu of Spoiled/Used Up

- (1) If a pass book is **used up** (all pages filled), a fresh pass book shall be issued **free of cost** in continuation of the original.
- (2) If a pass book is **spoiled** (damaged but identifiable), a fresh pass book may be issued on payment of the prescribed fee (**Rs. 10 + GST**).
- (3) The used/spoiled pass book shall be cancelled by the Postmaster and returned to the depositor (in case of used up) or retained (in case of spoiled).
- (4) The remark "**Continuation of Pass Book No...**" shall be made on the new pass book.

68. Pledging of Account (Security)

(1) A depositor may pledge the amount in his Savings Account, Time Deposit, or Savings Certificates as security to a **Government Authority, Local Authority, Housing Finance Company, or Scheduled Bank.**

(2) **Application:** The application for pledging shall be made in **Form SB-13** signed by both the depositor (Pledger) and the Authority (Pledgee).

(3) **Procedure:**

* The Postmaster shall verify the signatures and the authority.

* A **Lien** shall be noted in the system against the account.

* The Pass Book/Certificate shall be endorsed: "**Pledged to [Name of Authority] vide Registration No... dated...**".

* The Pass Book/Certificate shall be handed over to the **Pledgee** (Authority).

STATUTORY UPDATE (2025): Pledging Fee

Service Charge:

A fee of **Rs. 100 + GST (Total Rs. 118)** is applicable for the pledging of an account. The fee must be deposited at the time of application.

(Ref: *SB Order No. 01/2021*)

69. Release of Pledge

(1) The pledge can be released on receipt of a written authority from the **Pledgee** (Authority to whom pledged).

(2) The Pledgee shall return the Pass Book/Certificate along with the release letter.

(3) The Postmaster shall remove the Lien in the system and endorse "**Pledge Released**" on the Pass Book.

(4) **Partial Release:** Partial release of security is **not permitted** in respect of Savings Certificates; however, it is permitted in Time Deposit accounts subject to scheme rules.

70. Attachment of Account (Court Orders)

(1) When a Prohibitory Order or Attachment Order is received from a **Court of Law** or **Income Tax Authority**, the Postmaster shall immediately mark a "Freeze" or "Lien" on the account in the system.

(2) **Scope:** The attachment applies to the **balance** standing at the credit of the account at the time of receipt of the order. It does not apply to subsequent deposits unless specified.

(3) **Intimation:** The Postmaster shall inform the depositor about the attachment order.

(4) **Payment:** No withdrawal shall be allowed from the attached amount until the order is withdrawn or the amount is remitted to the Court/Authority.

STATUTORY UPDATE (2025): Digital Compliance

Online Compliance of Notices:

Income Tax and Court notices received through the **Department's Legal Cell Portal** must be complied with within **24 hours**. The "Freeze" status in Finacle prevents all debit transactions.

(Ref: SB Order No. 09/2024)

71. Remittance of Attached Amount

(1) If the Court/Authority orders the remittance of the attached amount:

* The Postmaster shall close/withdraw the amount (including interest due).

* A **Cheque** or **Demand Draft** shall be drawn in favor of the Court/Authority.

* The cost of remittance (Commission/DD Charges) shall be deducted from the account balance.

72. Change of Name of Depositor

(1) A depositor may change his/her name in the Post Office records on production of:

* (a) **Gazette Notification** or **Marriage Certificate** (for women).

* (b) Fresh **KYC Documents** with the new name.

(2) The Postmaster shall update the name in the **CIF** and issue a fresh Pass Book with the new name.

(3) The original signature shall be retained for historical verification, but a **fresh specimen signature** with the new name shall be obtained.

 **STATUTORY UPDATE (2025): Nomination Fee REMOVED**

Change/Cancellation of Nomination:

Effective **April 2025**, the service charge of **Rs. 50** for the **Change or Cancellation of Nomination** has been **REMOVED**. This service is now provided **Free of Cost** to encourage keeping nominations updated.

(Ref: *SB Order No. 05/2025 dated 03.04.2025*)

73. Transfer of Account to "Government" (Confiscation)

(1) If an order is received from a competent authority (e.g., under Smugglers and Foreign Exchange Manipulators Act) confiscating the deposit:

* The amount shall be transferred to the **Government Account** (Head of Account specified in the order).

* The account shall be closed in the system.

74. Minors Attaining Majority

(1) When a minor depositor attains the age of **18 years**, the account operations by the Guardian shall cease immediately.

(2) The depositor (now Major) must submit:

* (a) Fresh **Account Opening Form (SB-3)**.

* (b) Fresh **KYC Documents**.

* (c) Fresh **Specimen Signature**.

(3) The Postmaster shall convert the account status from "Minor" to "Major" in the system.

75. Conversion of Account Type

(1) **Single to Joint / Joint to Single:**

* Conversion of a Single Account to a Joint Account or vice versa is **allowed** in Post Office Savings Account (SB) and Time Deposit (TD).

* It is **not allowed** in schemes like SCSS, PPF, or SSA (except specific clauses).

(2) **Procedure:**

* A fresh Application Form (SB-3) signed by all account holders.

* Fresh KYC for the new member (in case of Single to Joint).

* The Account Number remains the same, but the **CIF linkage** is updated in Finacle.

CHAPTER 8: NATIONAL SAVINGS RECURRING DEPOSIT (RD)

76. Opening of Account

(1) An account may be opened by:

* (a) A single adult;

* (b) Two or three adults jointly (Joint-A or Joint-B);

* (c) A minor who has attained the age of **10 years**;

* (d) A guardian on behalf of a minor or a person of unsound mind.

(2) **Minimum Deposit:** The minimum monthly deposit shall be **Rs. 100** or any sum in multiples of **Rs. 10**.

(3) There is **no maximum limit** for the deposit amount in an RD account.

(4) The amount of monthly deposit fixed at the time of opening the account cannot be changed during the currency of the account.

77. Subsequent Deposits (Due Dates)

(1) The depositor shall make 60 monthly deposits in the account.

(2) Due Date for Deposit:

* (a) If the account is opened between the **1st and 15th** day of a month: The subsequent deposits must be made by the **15th day** of each month.

* (b) If the account is opened between the **16th and the last day** of a month: The subsequent deposits must be made by the **last working day** of each month.

(3) If the last date for deposit falls on a Sunday or a Postal Holiday, the deposit can be made on the next working day without default fee.

78. Default in Deposits and Revival

(1) **Default Fee:** If the monthly deposit is not made by the prescribed due date, a default fee shall be charged.

* Rate: **Rs. 1** for every **Rs. 100** of denomination for each month of default.

(2) **Discontinuation:** If there are **more than four** defaults in monthly deposits, the account shall be treated as "**Discontinued**".

(3) **Revival:** A discontinued account can be revived within a period of **two months** from the month of the fifth default by paying all defaulted instalments along with the default fee.

(4) If the account is not revived within this period, no further deposits can be made (except for the purpose of regularization if allowed by competent authority).

79. Advance Deposits (Rebate)

(1) A depositor may make advance deposits for **6 months or more** in any month.

(2) **Rebate:** A rebate is admissible on advance deposits as follows (for Rs. 100 denomination):

* (a) **6 to 11 deposits: Rs. 10** rebate.

* (b) **12 or more deposits: Rs. 40** for every 12 deposits (and Rs. 10 for balance 6-11).

(3) The rebate amount may be adjusted at the time of deposit or paid to the depositor.

(4) Advance deposits can be made at the time of opening the account or any time thereafter.

80. Premature Closure (PMC)

(1) An RD account can be closed prematurely after **3 years** (36 months) from the date of opening.

(2) **Interest Calculation:**

* Interest shall be calculated at the rate applicable to the **Post Office Savings Account (POSA)** for the completed months.

* No interest is payable if the account is closed before 3 years (except in case of death).

(3) **Restriction:** Premature closure is **not allowed** if advance deposits have been made and the period of such advance deposits has not expired.

STATUTORY UPDATE (2025): PMC Rules

Online PMC Facility:

Depositors can close their RD accounts prematurely online via **Internet Banking** or **Mobile Banking** app, provided the account is linked to a POSA/Bank account for credit of proceeds. The system automatically calculates the POSA interest rate.

81. Loan against Recurring Deposit

(1) A loan facility is available after the account has been in operation for **one year** and **12 monthly deposits** have been made.

(2) **Loan Amount:** Up to **50%** of the balance at credit in the account.

(3) **Repayment:** The loan can be repaid in lumpsum or in equal monthly instalments.

(4) **Interest on Loan:**

* Interest shall be charged at **2% plus the RD interest rate** applicable to the account.

* Interest is calculated from the date of withdrawal to the date of repayment.

(5) If the loan is not repaid till maturity, the outstanding loan plus interest shall be deducted from the maturity value.

STATUTORY UPDATE (2024-25): Loan Interest Rate

Formula: Loan Interest Rate = **RD Interest Rate + 2%.**

(Example: If RD Rate is 6.7%, Loan Rate = 8.7% per annum).

82. Maturity and Extension

(1) **Maturity:** The account matures after **5 years** (60 monthly deposits) from the date of opening.

(2) **Extension:**

* The account can be extended for a further period of **5 years** by submitting an application (**Form SB-4** / Application for Extension).

* During the extended period, deposits can be made at the same denomination.

* Interest applicable during the extension shall be the interest rate at which the account was originally opened.

(3) **Retention:** The account can be retained without further deposits for 5 years. The balance will earn the RD interest rate.

STATUTORY UPDATE (2025): Inoperative Accounts

"INOP" Flagging:

If an RD account matures and is neither closed nor extended for a period of **3 years** post-maturity, it will be flagged as **"INOP – Inoperative > 3 years"** in the Finacle system.

- Revival requires fresh KYC and approval from the Head Postmaster.

(Ref: *SB Order No. 10/2025 dated 15.07.2025*)

83. Protected Savings Scheme (Death Benefit)

(1) In case of death of the depositor, the **full maturity value** (as if all 60 instalments were paid) is payable to the nominee/legal heir, subject to the following conditions:

- * (a) The account has been in operation for at least **2 years**.
- * (b) The age of the depositor at the time of opening was between **18 and 53 years**.
- * (c) All due instalments up to the month of death have been paid.
- * (d) The account was not a discontinued account at any time.

(2) The maximum claim amount under this rule is limited to the denomination of **Rs. 100** (i.e., maturity value of a Rs. 100 account). For higher denominations, proportionate normal interest is paid for the excess.

84. Repayment on Death (Normal)

(1) If the Protected Savings Scheme is not applicable, the nominee/legal heir shall be paid:

* The total amount deposited.

* Interest applicable to the **POSA** rate (if death occurs before maturity) or **RD Scheme rate** (calculated as per tables provided in the notification).

85. Conversion of Account

(1) An RD account cannot be converted into any other type of account (like TD or Savings).

(2) Conversion from Single to Joint or Joint to Single is permitted as per General Rules.

CHAPTER 9: NATIONAL SAVINGS TIME DEPOSIT (TD)

86. Categories of Accounts

(1) There shall be four categories of Time Deposit accounts, namely:

* (a) **One Year** Time Deposit Account.

* (b) **Two Year** Time Deposit Account.

* (c) **Three Year** Time Deposit Account.

* (d) **Five Year** Time Deposit Account.

(2) An account may be opened by a single adult, two or three adults jointly, a minor (above 10 years), or a guardian on behalf of a minor/person of unsound mind.

(3) **Trusts:** Funds of Regimental Funds/Welfare Funds and other specified Trusts can be invested in Time Deposit accounts (subject to government notification).

87. Deposit Amount

- (1) **Minimum Deposit:** The minimum amount to be deposited in a Time Deposit account shall be **Rs. 1,000**.
- (2) **Multiples:** The deposit shall be in multiples of **Rs. 100**.
- (3) **Maximum Limit:** There is **no maximum limit** for the deposit amount.
- (4) A separate account shall be opened for each deposit. Subsequent deposits cannot be made in the same account (except for extension).

88. Payment of Interest

- (1) Interest shall be payable **annually** on the completion of each year from the date of opening.
- (2) **Option to Withdraw:** The interest may be withdrawn by the depositor or credited to their Savings Account (Auto-credit).
- (3) **Non-withdrawal:** If the interest is not withdrawn, it **shall not** earn any additional interest (i.e., no compounding).
- (4) **Calculation:** The interest is calculated quarterly and compounded, but paid annually.

STATUTORY UPDATE (2025): TDS on Interest

Section 194A (Income Tax Act):

- (1) **TDS Application:** TDS is applicable if the aggregate interest income from all TD/SCSS/MIS accounts of the holder exceeds **Rs. 40,000** (for general citizens) or **Rs. 50,000** (for Senior Citizens) in a financial year.
- (2) **Centralized Deduction:** As per **SB Order No. 16/2025** (dated **02.12.2025**), the TDS is deducted centrally by the system (Finacle) and not at the counter.

(3) **Form 15G/15H:** Depositors can submit Form 15G/15H at the start of the Financial Year to avoid TDS. This must be updated in the **HMF** (Tax Exemption) menu in Finacle.

89. Premature Closure (PMC)

(1) **Lock-in Period:** No deposit shall be withdrawn before the expiry of **six months** from the date of deposit.

(2) **Closure between 6 months and 1 year:**

* If the account is closed after 6 months but before 1 year, simple interest shall be paid at the rate applicable to the **Post Office Savings Account (POSA)**.

(3) **Closure after 1 year:**

* If the account is closed after 1 year, interest shall be calculated at a rate **2% less** than the rate specified for a Time Deposit of that specific tenure (completed years).

* *Example:* If a 5-Year TD is closed after 3 years, interest will be calculated at the **3-Year TD rate minus 2%**.

* Interest already paid annually shall be adjusted/recovered from the final principal payment.

90. Pledging of Account

(1) A Time Deposit account can be pledged as security to authorized authorities (Governor, Banks, Housing Finance Companies, etc.).

(2) The procedure for pledging (Form SB-13) and release is the same as described in **Rule 68**.

(3) Pledging is permitted only if the account is not under attachment by any Court/Income Tax Authority.

91. Extension of Account

(1) **Option for Extension:** The depositor may extend the account for a further period of the same tenure (1, 2, 3, or 5 years) upon maturity.

(2) **Time Limit for Application:**

* 1 Year TD: Within **6 months** of maturity.

* 2 Year TD: Within **12 months** of maturity.

* 3/5 Year TD: Within **18 months** of maturity.

(3) **Interest on Extension:** The account shall earn interest at the rate applicable on the **date of maturity** (original maturity date).

 **STATUTORY UPDATE (2025): Automatic Extension**

Change in Extension Rules:

If the depositor does not close the account on maturity, the account is **not** automatically extended in the Finacle system unless a specific request (or pre-maturity mandate) is registered.

The account becomes "Matured - Silent" after the prescribed period.

92. Maturity of Account

(1) The deposit shall be repayable on the expiry of the tenure (1, 2, 3, or 5 years).

(2) **Repayment:**

* The depositor must present the Pass Book and Application for Closure (**Form SB-7A**).

* Payment modes follow the general rules (Cash < Rs. 20,000; Cheque/Transfer > Rs. 20,000).

93. Tax Benefits (5-Year TD)

(1) Investment in **5-Year Time Deposit** qualifies for deduction under **Section 80C** of the Income Tax Act, 1961.

(2) **Restriction on PMC:** 5-Year TD accounts opened under Section 80C cannot be pledged or prematurely closed before the expiry of **5 years** (except in case of death).

94. Payment on Death of Depositor

(1) In the event of death of the depositor, the account may be closed immediately.

(2) Interest Calculation:

* If closed prematurely: Interest is paid at the **POSA rate** for the period from the date of deposit to the date of closure.

* If the account continues to maturity (by Nominee/Legal Heir): It earns the contracted TD interest rate.

(3) A Joint Account (Joint A or B) survives to the surviving holder(s).

95. Conversion of Tenure

(1) Conversion of the tenure of a Time Deposit account (e.g., converting a 1-Year TD to a 5-Year TD or vice versa) is **not permitted**.

(2) The account must be closed (subject to PMC rules) and a fresh account opened for the desired tenure.

CHAPTER 10: NATIONAL SAVINGS MONTHLY INCOME ACCOUNT (MIS)

96. Opening of Account

(1) An account may be opened by:

* (a) A single adult;

- * (b) Two or three adults jointly (Joint-A or Joint-B);
- * (c) A minor who has attained the age of **10 years**;
- * (d) A guardian on behalf of a minor or a person of unsound mind.

(2) **Limit on Number of Accounts:** A depositor can operate more than one account subject to the maximum deposit limit prescribed.

97. Deposit Limits

(1) **Minimum Deposit:** The account shall be opened with a minimum deposit of **Rs. 1,000** or in multiples of **Rs. 1,000**.

(2) **Maximum Deposit Limits:**

* (a) **Single Account:** Maximum limit of **Rs. 4,50,000**.

* (b) **Joint Account:** Maximum limit of **Rs. 9,00,000**.

(3) The share of an individual in a Joint Account shall be taken as equal share (e.g., 1/2 or 1/3) for calculating the individual limit.

STATUTORY UPDATE (2023-2025): Enhanced Limits

Revision of Maximum Limits:

Effective from **01.04.2023**, the maximum investment limits have been enhanced as follows:

- **Single Account:** **Rs. 9,00,000** (Nine Lakhs).
- **Joint Account:** **Rs. 15,00,000** (Fifteen Lakhs).
- The limits include all MIS accounts held by the depositor individually or jointly.

(Ref: *SB Order No. 05/2023 dated 31.03.2023*)

98. Interest Payment

- (1) Interest shall be payable on completion of a **month** from the date of opening.
- (2) **Auto-Credit:** The interest payable every month shall be auto-credited to the **Savings Account** (POSA) of the depositor standing at the same Post Office or any other CBS Post Office.
- (3) **Non-withdrawal:** If the interest is not claimed or withdrawn by the depositor, such interest shall **not** earn any additional interest.
- (4) **Rounding:** The interest payable shall be rounded off to the nearest rupee.

STATUTORY UPDATE (2025): TDS on MIS Interest

Section 194A Compliance:

- (1) **TDS @ 10%** is deducted if the total interest paid/credited in a Financial Year exceeds **Rs. 40,000** (General) or **Rs. 50,000** (Senior Citizens).
- (2) Since MIS interest is paid monthly, the system aggregates the interest paid across all SOLs (Service Outlets) for the PAN.
- (3) **Centralized Accounting:** As per **SB Order No. 16/2025**, the deduction is accounted for centrally at the **CPRC**.

99. Premature Closure (PMC)

- (1) **Lock-in Period:** No deposit shall be withdrawn before the expiry of **one year** from the date of deposit.

- (2) **Closure between 1 Year and 3 Years:**

* If the account is closed after 1 year but before 3 years, a deduction equal to **2%** of the principal amount shall be made.

* The remaining amount shall be paid to the depositor.

(3) Closure after 3 Years:

* If the account is closed after 3 years but before maturity (5 years), a deduction equal to 1% of the principal amount shall be made.

(4) Interest Adjustment: Any interest already paid for the month in which the account is closed shall be recovered from the principal/refund amount.

100. Maturity of Account

(1) The account shall mature on completion of **5 years** from the date of opening.

(2) **No Extension:** There is no provision for extension of the MIS account after maturity.

(3) **Post-Maturity Interest:** If the account is not closed on maturity, the balance amount shall earn interest at the rate applicable to **Post Office Savings Account (POSA)** up to a maximum period of **two years** (subject to rules), after which it becomes Silent.

101. Excess Deposit

(1) If any deposit is made in excess of the prescribed ceiling (Rs. 9 Lakhs/15 Lakhs):

* The excess amount shall be refunded to the depositor immediately.

* **Interest:** The excess amount shall carry interest at the **POSA rate** from the date of deposit to the date of refund.

* The interest already paid on the excess amount (at MIS rate) shall be recovered.

102. Death of Depositor

(1) The account may be closed immediately on the death of the depositor.

(2) Interest on Death Closure:

* Interest at the **MIS Scheme rate** shall be paid up to the month preceding the month of closure.

* The principal amount shall be refunded without any deduction (No 1% or 2% penalty).

(3) **Joint Account:** In case of death of one of the joint holders, the account can be continued by the surviving holder(s) provided the aggregate limit of the survivor(s) is not breached. If breached, the excess shall be refunded.

103. Transfer of Account

(1) The account can be transferred from one Post Office to another.

(2) The interest auto-credit instruction (Standing Instruction) linked to the old SOL ID must be modified to link to the new SOL ID or new Savings Account, if applicable.

104. Conversion

(1) An MIS account cannot be converted into any other scheme (like TD or SCSS).

(2) Conversion from Single to Joint or Joint to Single is **allowed**.

105. Pledging

(1) The facility of pledging (transfer as security) is available for MIS accounts.

(2) The procedure is governed by the **Post Office Savings Account (General) Rules, 2018**.

(3) Pledging is often required for furnishing security to Government authorities.

CHAPTER 11: SENIOR CITIZENS SAVINGS SCHEME (SCSS)

106. Opening of Account (Eligibility)

(1) An account may be opened by an individual who has attained the age of **60 years** on the date of opening of the account.

(2) Relaxations:

* (a) **55 Years to 60 Years:** An individual who has attained the age of 55 years but is less than 60 years and has retired on superannuation or otherwise (VRS) can open the account.

* *Condition:* The account must be opened within **one month** of receipt of retirement benefits.

* *Proof:* A certificate from the employer indicating the retirement details and benefits is required.

* (b) **Retired Defence Personnel:** Personnel of Defence Services (excluding Civilian Defence Employees) can open the account on attaining the age of **50 years**.

(3) **Joint Account:** The account can be opened individually or jointly with the **spouse only**. The age limit applies only to the primary account holder.

107. Deposit Amount

(1) There shall be only one deposit in the account in multiple of **Rs. 1,000**.

(2) **Maximum Limit:** The maximum amount that can be deposited in the account (individually or jointly) is **Rs. 15,00,000** (Fifteen Lakhs).

(3) **Check on Limits:** The depositor must self-declare that the deposits in all SCSS accounts taken together do not exceed the prescribed limit.

🔔 STATUTORY UPDATE (2023): Enhanced Limit

Revision of Maximum Investment Limit:

Effective from **01.04.2023**, the maximum investment limit in SCSS has been raised to **Rs. 30,00,000** (Thirty Lakhs).

- **Single/Joint:** The limit applies to the **first holder**. The spouse's share is not counted if they are the second holder.
- **Retirement Benefits:** For retirees (55-60), the deposit is limited to the **Retirement Benefits** received or **Rs. 30 Lakhs**, whichever is lower.

(Ref: *SB Order No. 05/2023 dated 31.03.2023*)

108. Payment of Interest

(1) Interest shall be payable on a **quarterly basis** on the **31st March, 30th June, 30th September, and 31st December**.

(2) **First Interest:** Interest for the broken period from the date of deposit to the end of the quarter shall be paid on the next quarter-end.

(3) **Credit:** Interest is automatically credited to the linked **Savings Account (POSA)** of the depositor.

(4) **Non-withdrawal:** Interest not claimed/withdrawn does **not** earn additional interest.

STATUTORY UPDATE (2025): TDS on SCSS

Mandatory TDS Deduction:

(1) TDS is applicable if aggregate interest exceeds **Rs. 50,000** in a financial year for Senior Citizens (Age 60+).

(2) **Rate:** 10% (20% if PAN is invalid/not furnished).

(3) **Centralized Deduction:** Finacle automatically deducts TDS and accounts it under the **CPRC** office code.

(4) **Form 15H:** Depositors above 60 years can submit **Form 15H** to claim exemption from TDS. This must be flagged in the **HMF** menu.

(Ref: *SB Order No. 16/2025*)

109. Premature Closure (PMC)

(1) The depositor may close the account at any time by making an application in **Form SB-7B**.

(2) **Penalties for Premature Closure:**

* (a) **Before 1 Year:** No interest shall be payable. If any interest has been paid, it shall be recovered from the principal.

* (b) **After 1 Year but before 2 Years:** An amount equal to **1.5%** of the deposit shall be deducted.

* (c) **After 2 Years but before 5 Years:** An amount equal to **1%** of the deposit shall be deducted.

STATUTORY UPDATE (2023): Clarification on Extension PMC

If an SCSS account is extended after maturity (for 3 years) and is closed **after one year** from the date of extension, **no deduction** (penalty) shall be made.

(Ref: *GSPR Amendment 2023*)

110. Maturity and Extension

(1) The account matures on completion of **5 years** from the date of opening.

(2) **Extension:** The depositor may extend the account for a further period of **3 years** by submitting an application (**Form SB-4**) within **one year** from the date of maturity.

(3) **Interest Rate on Extension:** The account shall earn interest at the rate applicable on the **date of maturity** (or date of extension application, whichever is beneficial as per specific notification rules). *Clarification: It earns the rate prevailing on the date of maturity.*

(4) Account can be extended **only once** (for a block of 3 years).

STATUTORY UPDATE (2024): Multiple Extensions

New Extension Rule:

Recent amendments allow for the extension of SCSS accounts for **multiple blocks of 3 years**. A depositor can extend the account again after the completion of the first extended period.

(Ref: Ministry of Finance Notification 2023/24 - adopted via SB Order)

111. Closure on Maturity

(1) To close the account on maturity, the depositor shall submit the Pass Book and **Form SB-7A**.

(2) Payment exceeding **Rs. 20,000** shall be made by Account Payee Cheque or Credit to Savings Account.

112. Spouse as Joint Holder

(1) In a joint account, the **whole amount** is attributed to the **first account holder**.

(2) The question of the age eligibility of the spouse (second holder) does not arise.

(3) The spouse can be a joint holder even if they are below 60 years of age.

113. Death of Depositor

(1) In case of death of the depositor, the account shall be closed.

(2) **Interest on Death:** Interest at the **SCSS rate** shall be paid up to the date of death. From the date of death to the date of closure, interest shall be paid at the **POSA (Savings) rate**.

(3) **Spouse Continuing Account:**

* If the spouse is the joint holder/sole nominee, the spouse may continue the account **if** they meet the eligibility criteria (Age 60+ and Limits).

* If the spouse already has an SCSS account, the total of both accounts should not exceed the maximum limit (**Rs. 30 Lakhs**). If it exceeds, the excess amount shall be refunded.

114. Transfer of Account

(1) The account may be transferred from one Post Office to another.

(2) Transfer Fee: **Rs. 100** + GST per registration.

115. Commission to Agents (SAS)

(1) Payment of commission to agents (SAS/MPKBY) on SCSS deposits was **discontinued** w.e.f. **01.12.2011**.

(2) Deposits must be made directly by the investor.

CHAPTER 12: PUBLIC PROVIDENT FUND (PPF) SCHEME

116. Opening of Account

(1) An account under the Scheme may be opened by:

* (a) An **Individual** in his/her own name.

* (b) An Individual on behalf of a **Minor** of whom he/she is the guardian.

* (c) An Individual on behalf of a person of **Unsound Mind** of whom he/she is the guardian.

(2) **Restriction on Joint Accounts:** A PPF account **cannot** be opened in joint names. It must be a Single Account.

(3) **Restriction on Number of Accounts:** An individual can open **only one** account in his/her name either in a Post Office or a Bank. Opening of a second account is irregular.

(4) **HUF/NRI:** Hindu Undivided Families (HUF) and Non-Resident Indians (NRI) are **not eligible** to open a new PPF account.

STATUTORY UPDATE (2025): Irregular Accounts

Regularization of Multiple/Irregular PPF Accounts:

Recent guidelines (Aug 2024/Jan 2025) clarify the handling of irregular accounts:

- **Multiple Accounts:** The primary account shall be retained (subject to limits), and the second/subsequent accounts shall be **merged** or **closed without interest** (refund of principal only).

- **NRI Accounts:** Accounts held by NRIs (who became NRI after opening) shall be closed or deemed matured on the date of status change. Interest is paid at **POSA rate** post-maturity.
- **Minor Accounts:** Interest for minor accounts (where more than one opened by guardians) is regulated strictly within the combined limit of Rs. 1.5 Lakhs per guardian.

(Ref: SB Order No. 08/2024 & SB Order No. 12/2025)

117. Deposit Limits

(1) **Minimum Deposit:** The minimum yearly deposit required to keep the account active is **Rs. 500**.

(2) **Maximum Deposit:** The maximum amount that can be deposited in a financial year is **Rs. 1,50,000** (One Lakh Fifty Thousand).

(3) **Frequency:** Deposits can be made in lumpsum or in instalments. The number of instalments in a financial year is **not limited** (previously limited to 12).

(4) **Combined Limit for Minor:** The limit of Rs. 1,50,000 applies to the individual's own account and the account opened on behalf of a minor **taken together** (if the guardian is the same).

118. Discontinued Accounts

(1) An account in which the minimum deposit of **Rs. 500** is not made in a financial year shall be treated as "**Discontinued**".

(2) **Effect:** A discontinued account cannot be closed before maturity (15 years) and cannot be extended.

(3) **Revival:** A discontinued account can be revived during the maturity period by paying:

* (a) A penalty of **Rs. 50** for each year of default.

* (b) Arrears of minimum subscription (**Rs. 500**) for each year of default.

119. Interest

(1) Interest is declared by the Ministry of Finance quarterly.

(2) **Calculation Basis:** Interest is calculated on the **lowest balance** at the credit of the account between the **close of the 5th day** and the **end of the month**.

(3) **Credit:** Interest is credited to the account at the end of each Financial Year (**31st March**).

(4) Interest earned in PPF is **completely tax-free** under the Income Tax Act.

120. Loan Facility

(1) A depositor can avail of a loan from the PPF account.

(2) **Eligibility:**

* Loan can be taken from the **3rd Financial Year** up to the end of the **6th Financial Year**.

* *Example:* Account opened in FY 2020-21. Loan available from 01.04.2022 (Start of 3rd FY) to 31.03.2026 (End of 6th FY).

(3) **Quantum:** Maximum loan amount is **25%** of the balance at the credit at the end of the **second year immediately preceding** the year in which the loan is applied for.

(4) **Repayment:** Loan must be repaid within **36 months**.

(5) **Interest on Loan:**

* If repaid within 36 months: Interest @ **1% per annum** is charged.

* If not repaid within 36 months: Interest @ **6% per annum** is charged on the outstanding amount.

 **STATUTORY UPDATE (2023): Loan Interest Reduced**

Under the PPF Scheme 2019 (amended), the interest rate on loan has been reduced from 2% to **1% per annum** (above the prevailing PPF interest rate? No, simply 1% per annum is the spread charged effectively, often cited as "**1% per annum**" simple interest in the notification).

Clarification: The borrower pays interest at **1% p.a.** calculated on the loan amount. (This replaced the earlier "2% above PPF rate" rule).

121. Withdrawal Facility (Partial)

- (1) Partial withdrawals are allowed from the **7th Financial Year** onwards.
- (2) **Quantum:** The maximum withdrawal is limited to **50%** of the balance at credit at the end of the **4th year immediately preceding** the year of withdrawal OR at the end of the **preceding year**, whichever is **lower**.
- (3) **Frequency:** Only **one** withdrawal is allowed per financial year.
- (4) Facility is available for both Active and Discontinued accounts (subject to rules).

122. Maturity of Account

- (1) The account matures on the completion of **15 full financial years** from the end of the year in which the account was opened.
- (2) *Example:* Account opened on 15.08.2010. 15 Years counted from 31.03.2011. Maturity Date = **01.04.2026**.
- (3) On maturity, the depositor can:
 - * (a) Close the account and withdraw the full balance.
 - * (b) Extend the account **with deposits**.
 - * (c) Extend the account **without deposits** (Automatic).

123. Extension of Account

(1) Extension with Deposits:

- * The account can be extended for a block of **5 years**.
- * The depositor must submit **Form SB-4** (Extension Form) within **one year** from the date of maturity.
- * During extension, withdrawal up to **60%** of the balance at the start of the extension block is allowed (spread over 5 years).

(2) Extension without Deposits:

- * If no option is exercised, the account is automatically extended for 5 years **without further deposits**.
- * The balance continues to earn PPF interest.
- * Withdrawal is allowed once per financial year (any amount).

124. Premature Closure (PMC)

(1) Premature closure is allowed only after the account has completed **5 financial years**.

(2) Grounds for PMC:

- * (a) Treatment of life-threatening disease of the account holder, spouse, or dependent children/parents (Medical grounds).
- * (b) Higher education of the account holder or dependent children (Education grounds).
- * (c) Change in residency status of the account holder (becoming NRI).

(3) **Penalty:** Interest shall be recalculated at a rate **1% less** than the interest rate applicable to the scheme from the date of opening.

125. Death of Depositor

- (1) On the death of the depositor, the account shall be closed immediately.
- (2) The Nominee/Legal Heir cannot continue the account.
- (3) **Interest on Death:** Interest shall be paid at the **PPF Scheme rate** up to the end of the month preceding the month in which the account is closed.
- (4) The limit of Rs. 1.5 Lakhs deposit ceases to apply in the year of death; however, no further deposits are allowed after death.

CHAPTER 13: SUKANYA SAMRIDDHI ACCOUNT SCHEME (SSA)

126. Opening of Account

- (1) The account may be opened by the **Guardian** in the name of a **Girl Child** who has not attained the age of **10 years** as on the date of opening of the account.
- (2) **Number of Accounts:** Every account holder (Girl Child) shall have a single account under this Scheme.
- (3) **Family Limit:** The application for opening an account shall be accompanied by the birth certificate of the girl child. A guardian can open accounts for a maximum of **two** girl children in one family.
- (4) **Exception (Twins/Triplets):** The limit of two accounts may be relaxed to three or more if the first or second order of birth results in multiple girl children (twins/triplets), supported by a Medical Certificate.

STATUTORY UPDATE (2024-2025): Irregular Accounts

Regularization of Accounts Opened by Grandparents:

Accounts irregularly opened by **Grandparents** (who are not legal guardians) instead of Natural Parents (Alive) must be regularized.

- **Procedure:** The guardianship must be transferred to the **Natural Parents** (Surviving Parent).
- If the account is not regularized, it may be closed or treated as irregular.

(Ref: SB Order No. 08/2024 regarding Regularization of Irregular NSS Accounts)

127. Deposits

- (1) **Minimum Deposit:** The account may be opened with a minimum initial deposit of **Rs. 250** and the minimum annual deposit shall be **Rs. 250**.
- (2) **Maximum Deposit:** The total amount deposited in an account shall not exceed **Rs. 1,50,000** in a financial year.
- (3) **Period of Deposits:** Deposits may be made in the account till the completion of a period of **15 years** from the date of opening of the account.
- (4) **Default:** An account in which the minimum amount of **Rs. 250** is not deposited in a financial year shall be considered as an **Account under Default**.

128. Revival of Default Account

- (1) An account under default may be regularized within **15 years** of opening.
- (2) **Penalty:** A penalty of **Rs. 50** per default year shall be paid along with the minimum prescribed deposit (**Rs. 250**) for the year(s) of default.
- (3) If the account is not regularized within 15 years, the entire deposit (including interest credited) shall continue to earn interest until maturity.

129. Interest

- (1) The interest rate is notified by the Government quarterly.
- (2) **Calculation:** Interest shall be calculated on the **lowest balance** at the credit of the account between the **close of the 5th day** and the **end of the month**.
- (3) **Crediting:** The interest shall be credited to the account at the end of each financial year (**31st March**).
- (4) **Tax Status:** Interest earned in SSA is **exempt from Income Tax** (E-E-E Category).

130. Operation of Account

- (1) The account shall be operated by the **Guardian** till the account holder (Girl Child) attains the age of **18 years**.
- (2) **Conversion:** On attaining the age of 18 years, the account holder herself can operate the account by submitting:
 - * (a) Fresh **KYC Documents**.
 - * (b) Fresh **Specimen Signature**.
 - * (c) An application for taking over the account operation.

131. Withdrawal (Partial)

- (1) Withdrawal up to **50%** of the balance at the credit of the account at the end of the **preceding financial year** shall be allowed.
- (2) **Conditions for Withdrawal:**
 - * (a) The account holder must have attained the age of **18 years** OR passed the **10th Standard**.
 - * (b) The withdrawal is required for the purpose of **Higher Education**.

* (c) Proof of admission and fee slip must be submitted.

(3) **Mode:** Withdrawal can be made in lumpsum or in instalments (not exceeding one per year) for a maximum of **5 years**, subject to the ceiling of fee/charges.

132. Premature Closure (Compassionate Grounds)

(1) Premature closure is allowed after **5 years** of opening on the following grounds:

* (a) **Medical:** Treatment of life-threatening disease of the Account Holder.

* (b) **Death of Guardian:** Where the operation of the account causes undue hardship.

(2) **Interest Calculation:** Interest on such closure shall be paid at the **SSA Scheme Rate** (No penalty).

(3) **Other Closures:** If the account is closed for any other reason (e.g., Change of Citizenship), the interest shall be paid at the **Post Office Savings Account (POSA) rate**.

133. Closure on Maturity

(1) The account shall mature on completion of **21 years** from the date of opening.

(2) **Restriction on Interest:** No interest shall be payable after the completion of 21 years.

(3) **Payment:** The balance shall be paid to the **Account Holder** (Girl Child) on production of identity proof and Pass Book.

134. Closure on Marriage

(1) The account may be closed before maturity (21 years) if the account holder intends to get married.

(2) **Conditions:**

* (a) The account holder must have attained the age of **18 years**.

* (b) Application for closure must be submitted **one month before** or **three months after** the date of marriage.

* (c) Proof of age (18+) and Declaration of Marriage must be furnished.

(3) **Payment:** The full balance along with interest accrued shall be paid.

STATUTORY UPDATE (2025): Online Closure

Process Refinement:

Documents proving marriage (Notification/Card/Affidavit) must be scanned and uploaded to the **ECM (Electronic Content Management)** system in Finacle before authorizing the closure.

(Ref: *SB Order No. 05/2025*)

135. Transfer of Account

(1) The account may be transferred anywhere in India from one Post Office to another or from a Post Office to a Bank and vice versa.

(2) **Fee:**

* If proof of change of residence is produced: **Free of Cost.**

* If no proof of change of residence is produced: **Rs. 100 + GST.**

(3) The Transferor office must send the original Account Opening Form and certified copy of the Birth Certificate to the Transferee office.

CHAPTER 14: NATIONAL SAVINGS CERTIFICATES (VIII ISSUE)

136. Issue of Account (in lieu of Certificate)

(1) The National Savings Certificates (VIII Issue) shall be issued in the form of a **Passbook** / **e-mode** recorded in the CBS system.

(2) **Eligibility:** An account may be opened by:

* (a) An **adult** for himself.

* (b) **Three adults** jointly (Joint A or Joint B).

* (c) A **minor** who has attained the age of **10 years**.

* (d) A **guardian** on behalf of a minor or a person of unsound mind.

(3) **Non-Resident Indians (NRIs):** NRIs are **not eligible** to purchase NSC. If a resident becomes an NRI during the maturity period, he may continue the account till maturity on a **non-repatriation basis**.

137. Deposit Amount

(1) **Minimum Deposit:** The minimum amount for opening an account shall be **Rs. 1,000**.

(2) **Multiples:** Deposits shall be in multiples of **Rs. 100**.

(3) **Maximum Limit:** There is **no maximum limit** for the deposit amount.

(4) **Denominations:** Although issued as a Passbook, the deposits are conceptually treated as units of Rs. 100, Rs. 1,000, Rs. 5,000, and Rs. 10,000 for calculation purposes.

138. Maturity of Account

(1) The deposit shall mature on completion of **5 years** from the date of the deposit.

(2) **Maturity Value:** The maturity value shall be as notified by the Central Government for the respective period of deposit.

(3) **Tax Liability:** The interest accruing annually on NSC is deemed to be reinvested (except for the final year) and qualifies for deduction under **Section 80C** of the Income Tax Act (within the overall ceiling).

(4) **TDS:** No Tax Deducted at Source (TDS) is deducted by the Post Office on NSC maturity payments. The depositor is liable to pay tax on the interest earned.

139. Premature Closure (PMC)

(1) The account **shall not be closed** before maturity except in the following specific cases:

* (a) On the **death** of the single account holder or all the joint holders.

* (b) On **forfeiture by a pledgee** (being a Gazetted Officer).

* (c) On the **order of a Court** of Law.

(2) **Amount Payable on PMC:**

* If closed within **1 year**: Only the principal amount is refunded (No interest).

* If closed between **1 year and 3 years**: Simple interest at the **Post Office Savings Account (POSA)** rate is paid.

* If closed after **3 years**: Paid as per the **Premature Closure Table** (specified discounted value) notified by the Government.

140. Transfer and Pledging

(1) **Transfer of Account:** An account may be transferred from one person to another only once during the maturity period, subject to the consent of the Postmaster, in cases of:

* (a) Death of account holder to Legal Heir.

* (b) Joint holders to one of the joint holders.

* (c) Order of a Court.

(2) **Pledging:** The account can be pledged as security to authorized authorities (Banks, Housing Finance Companies, Govt. Authorities).

* **Fee:** A pledging fee of **Rs. 100 + GST** is applicable.

* The Pledgee has the right to invoke the pledge and encash the certificate in case of default.

 STATUTORY UPDATE (2025): Inoperative Accounts**Freezing after Maturity:**

If an NSC account is not closed (encashed) within **3 years** after the date of maturity, it shall be flagged as "**INOP – Inoperative > 3 years**" in the Finacle system. Revival by the Head Postmaster is required for payment.

(Ref: SB Order No. 10/2025)

CHAPTER 15: KISAN VIKAS PATRA (KVP)**141. Issue of Account**

(1) Kisan Vikas Patra (KVP) shall be issued in the form of a **Passbook / e-mode**.

(2) Eligibility:

- * (a) Single Adult.
- * (b) Joint A (up to 3 adults).
- * (c) Joint B (up to 3 adults).
- * (d) Minor above 10 years.
- * (e) Guardian on behalf of minor/unsound mind.

(3) **Trusts:** Trusts are eligible to invest in KVP.

142. Deposit Amount

(1) **Minimum Deposit:** Minimum deposit is **Rs. 1,000**.

(2) **Multiples:** Deposits shall be in multiples of **Rs. 100**.

(3) **Maximum Limit:** There is **no maximum limit** for investment in KVP.

143. Maturity Period (Doubling Time)

(1) The maturity period is determined by the Ministry of Finance based on the interest rate prevailing at the time of deposit.

(2) The corpus **doubles** on maturity.

* *Current Status (Example):* If the rate is **7.5%**, the maturity period is **115 months** (9 Years & 7 Months).

(3) The maturity date is calculated automatically by the CBS system at the time of opening.

144. Premature Closure (PMC)

(1) KVP can be prematurely closed at any time **after the expiry of 2 years and 6 months** (30 months) from the date of deposit.

(2) **Lock-in Period:** 2 Years and 6 Months.

(3) **Exceptions (Closure before Lock-in):**

* Allowed only in case of **death** of holder(s), **forfeiture** by pledgee, or **Court order**.

(4) **Calculation:**

* If closed after the lock-in period, the amount payable is determined by the **Premature Closure Table** (notified values which ensure a reduced interest rate).

145. Transfer of KVP

(1) **From One Person to Another:** Transfer is permitted only **once** during the currency of the account, subject to conditions (Death, Court Order, Joint to Single).

(2) **Transfer Fee:** Rs. 100 + GST per case.

(3) **From One PO to Another:** Permitted freely.

STATUTORY UPDATE (2025): Tax Implications

No TDS:

Just like NSC, **No TDS** is deducted on KVP encashment. However, the interest accrued is **taxable** in the hands of the depositor under "Income from Other Sources".

(Ref: Income Tax Rules / SB Order No. 16/2025 Exemptions)

CHAPTER 15: CASH MANAGEMENT IN CBS OFFICES

146. Maximum Cash Balance

(1) The maximum cash balance that can be retained by a Post Office (Head Office, Sub Office, or Branch Office) is fixed by the **Superintendent of Post Offices** or the **Head of the Circle**.

(2) **Retention Limit:** No Post Office shall retain cash in excess of the authorized maximum cash balance after the close of business hours, except under special circumstances with the permission of the competent authority.

(3) **Excess Cash:** Any cash in excess of the authorized limit must be remitted to the Bank/Treasury or the Account Office on the same day or the very next morning.

STATUTORY UPDATE (2025): Cash Conveyance Limits

Revision of Limits:

The monetary limits for conveyance of cash by departmental employees have been enhanced as follows:

- **Foot/Bicycle:** Up to **Rs. 5,00,000** (Five Lakhs) [Previously lower].
- **Two-Wheeler (Moped/Motorcycle):** Up to **Rs. 10,00,000** (Ten Lakhs).

- **Public Transport/Hired Vehicle:** Up to **Rs. 20,00,000** (Twenty Lakhs) with armed guard.

(Ref: Postal Directorate Order No. 25-01/2024-PO dated 10.01.2025)

147. Supply of Funds to Sub Offices

(1) Sub Offices shall obtain funds required for their operations from:

- * (a) The **Head Post Office**.
- * (b) The **Bank/Treasury** with which they are in account.
- * (c) Surplus funds received from Branch Offices.

(2) **Drawing from Bank:** The Sub Postmaster shall draw cash from the Bank by issuing a **Cheque** signed by him/her. The amount shall be entered in the **SO Daily Account** and **Treasurer's Cash Book**.

148. Supply of Funds to Branch Offices

(1) The Account Office (HO/SO) shall supply funds to the Branch Offices (BOs) in account with it based on the **BO Daily Account** or **Requisition** received.

(2) **Mode of Remittance:**

- * (a) By **Cash** sent through the mail carrier/runner (in Cash Bag).
- * (b) By **Electronic Transfer** (if the BO is RICT/CBS enabled and has a mapped bank account/IPPB arrangement).

(3) The amount sent shall be debited in the Account Office accounts and credited in the BO accounts.

149. Disposal of Surplus Funds from BOs

- (1) When the cash balance at a Branch Office exceeds the authorized limit (Liabilities + Minimum Cash), the Branch Postmaster (BPM) must remit the surplus cash to the Account Office.
- (2) **Accounting:** The cash remittance is entered on the payment side of the **BO Daily Account** and enclosed in the Cash Bag.
- (3) **Verification:** The Account Office shall open the Cash Bag in the presence of witnesses and verify the cash against the entry in the BO Daily Account.

150. Shortage or Excess in Cash

- (1) **Excess Found:** If any excess cash is found during the verification of the cash balance:
- * It must be credited to "**Unclassified Receipts**" (UCR) immediately.
 - * It shall not be utilized for any payment until the cause is established.
- (2) **Shortage Found:** If any shortage is found:
- * The official responsible must make good the amount immediately.
 - * If the amount is not made good, it shall be reported to the Superintendent and the amount shall be adjusted by debit to "**UCP**" (Unclassified Payments) or relevant Advance head pending recovery.

151. Custody of Cash

- (1) The Postmaster is personally responsible for the safe custody of cash.
- (2) **Joint Custody:** In large offices (HOs), the cash and valuables in the Treasury/Strong Room shall be in the **Joint Custody** of the Postmaster (or Treasurer) and another authorized official (e.g., Assistant Postmaster).
- (3) **Keys:** The keys of the safe/strong room shall remain in the personal custody of the joint holders and shall not be exchanged.

152. Treasury Pass Book / Bank Scroll

(1) For offices in account with a Bank (Nationalized Bank), a **Treasury Pass Book** or **Bank Statement** shall be maintained.

(2) All remittances to the Bank and withdrawals from the Bank shall be entered in this book.

(3) **Reconciliation:** The Postmaster must verify the entries in the Treasury Pass Book with the **Bank Scroll** (daily statement from Bank) and the office Cash Book daily.

153. Counterfeit Currency Notes

(1) It is the duty of the counter staff to examine notes received from the public.

(2) **Detection:** If a **Counterfeit Note** is detected:

* It shall be **impounded** immediately by the Postmaster.

* The note shall be branded with a stamp "**COUNTERFEIT BANK NOTE**".

* A receipt shall be issued to the tenderer (if requested), but the note shall **not be returned**.

* The matter shall be reported to the local Police authorities if the number of notes is high (as per RBI guidelines).

STATUTORY UPDATE (2025): Digital Payments Impact

Reduction of Cash Retention:

With the mandatory implementation of **Unified Payments Interface (UPI)** QR Codes at all Postal Counters (SB Order 02/2024), Post Offices are instructed to minimize cash retention.

- Cash received should be remitted to the Bank more frequently.
- Customers should be encouraged to use **QR Code / IPPB** for deposits to reduce cash handling risk.

154. Verification of Cash Balance

- (1) The Postmaster shall verify the cash balance of the office **at the close of each day**.
- (2) The physical cash must tally with the **Closing Balance** shown in the **Treasurer's Cash Book** and the **CBS System (Finacle) Cash Report**.
- (3) A certificate of verification ("Cash Balance Verified and found correct") shall be recorded and signed in the Cash Book daily.

155. Accounting of Cash in Finacle (CBS)

- (1) In CBS, the Cash Account is maintained under the **SOL ID** (Service Outlet ID).
 - (2) **Vault Account:** The main cash balance of the office is held in the **Vault Account**.
 - (3) **Teller Account:** Each Counter Assistant has a **Teller Cash Account**.
- * Cash received from customers is debited to the Teller Account.
- * At end of day, the Teller must transfer the cash to the Vault (Treasury).
- (4) **Limit Enforcements:** The system prevents the Teller from holding cash exceeding the assigned **User Cash Limit**.

CHAPTER 16: INSPECTION AND AUDIT QUESTIONNAIRE**156. Objectives of Inspection**

- (1) The primary objective of inspection of the Savings Bank Branch is to ensure that:
 - * (a) The rules and procedures prescribed in the POSB Manuals and SB Orders are being strictly followed.
 - * (b) The interests of the Depositors and the Government are safeguarded.
 - * (c) The system-generated reports are being generated and reviewed daily.
 - * (d) Frauds and irregularities are detected and prevented.

(2) The Inspecting Officer (IPO/ASP/Supdt) shall verify a percentage of transactions and accounts as prescribed in the Inspection Questionnaire.

157. Verification of High Value Transactions

(1) The Inspecting Officer shall verify all withdrawals exceeding **Rs. 50,000** allowed during the period of inspection.

(2) Points to Check:

* Whether the signature on the withdrawal form matches the specimen signature in the system.

* Whether the **PAN** was obtained and verified.

* Whether the Postmaster verified the transaction in the system before authorization.

(3) The Officer shall also verify the **Long Book / Transaction Report** for any unusual pattern of withdrawals.

158. Verification of Silent Account Revival

(1) The Inspecting Officer shall check **100%** (or a prescribed percentage) of Silent Accounts revived during the inspection period.

(2) Checks:

* Whether a fresh application for revival was obtained.

* Whether fresh **KYC documents** were obtained and uploaded to the CIF.

* Whether any withdrawal was made immediately after revival.

(3) **Fraud Indicator:** Frequent revival of silent accounts followed by cash withdrawals suggests potential fraud by counter staff.

159. Verification of Deceased Claim Cases

(1) The Inspecting Officer shall verify the Deceased Claim cases sanctioned by the Postmaster.

(2) Checks:

- * Whether the claim was sanctioned within the prescribed financial powers.
- * Whether the **Death Certificate** is genuine (verify with issuing authority if suspicious).
- * Whether the **Legal Evidence** (Succession Certificate) was obtained where necessary (i.e., No nomination and claim > Rs. 5 Lakhs).
- * Whether the payment was made by Cheque/Credit to Account (Mandatory for > Rs. 20,000).

160. KYC Compliance Audit

(1) The Inspecting Officer shall select a random sample of New Accounts opened during the period.

(2) Checks:

- * Whether the **CIF** has been created properly.
- * Whether the **Photo** and **Signature** are scanned and clearly visible in the system.
- * Whether the ID and Address Proof details are correctly entered in the CIF.

STATUTORY UPDATE (2025): e-KYC & Masking

Audit of Aadhaar Secrecy:

The Inspecting Officer must verify that:

- Physical copies of Aadhaar cards attached to vouchers (if any) have the **first 8 digits masked**.

- The **Aadhaar Vault** reference number is generated in the system.
- No unmasked Aadhaar number is visible on the Passbook or Counterfoils.

(Ref: *SB Order No. 01/2025*)

161. User ID and System Security

(1) The Inspecting Officer shall verify the list of Active Users in the office.

(2) Checks:

- * Whether User IDs of officials who have been **transferred, retired**, or are on **long leave** have been disabled.
- * Whether the Postmaster has shared his password or User ID with any other official (Strictly Prohibited).
- * Whether the **Biometric Device** (if applicable) is functioning and being used by the authorized user only.

162. Verification of Cash Balance

(1) The Inspecting Officer shall physically verify the Cash Balance of the office.

(2) **Reconciliation:** The physical cash must tally with:

- * The balance in the **Treasurer's Cash Book**.
- * The **Vault Balance** in the Finacle System.

(3) Any discrepancy (Excess/Shortage) must be reported immediately.

163. Stock Verification (Passbooks & Cheques)

(1) The Inspecting Officer shall verify the physical stock of:

- * Blank Passbooks (SB, RD, TD, etc.).

* Blank Savings Certificates (if any physical stock remains).

* Blank Cheque Books.

(2) The physical stock must agree with the balance in the **Stock Register** and the **Inventory System** in CBS.

(3) Check if the **Series/Numbers** are continuous and accounted for.

164. Interest Payment and TDS Check

(1) The Inspecting Officer shall verify the correct application of interest rates, especially for SCSS and TD accounts closed prematurely.

(2) **TDS Check:**

* Verify if **TDS** has been deducted for SCSS accounts where interest exceeds Rs. 50,000.

* Since deduction is automated, check if the **PAN** is validly seeded; otherwise, check if TDS was deducted at the penal rate (**20%**).

STATUTORY UPDATE (2025): Centralized TDS Audit

Instead of checking local General Ledger (GL) codes for TDS, the IO shall verify the "**TDS Certificate Issue Register**" to ensure that customers requesting Form 16A are being serviced through the **CPRC** download facility.

(Ref: *SB Order No. 16/2025*)

165. Common Irregularities (Questionnaire Items)

(1) The Inspecting Officer generally looks for the following common irregularities based on the standard questionnaire:

* (a) **Splitting of Deposits:** Opening multiple accounts (e.g., in MIS/TD) on the same day to avoid TDS or prescribed limits.

* (b) **Non-entry of Lien:** Failure to mark "Lien" or "Pledge" in the system despite physical endorsement on the Passbook.

* (c) **Pending Passbooks:** Passbooks retained in the Post Office for long periods without entry in the "Undeliverable Passbooks Register".

* (d) **Manual Corrections:** Use of correcting fluid (Whitener) on vouchers or registers (Strictly Prohibited).

CHAPTER 17: SAVINGS BANK CONTROL ORGANIZATION (SBCO)

166. Constitution and Role of SBCO

(1) The Savings Bank Control Organization (SBCO) is established in every Head Post Office to function as an independent internal audit wing for Savings Bank operations.

(2) **Primary Role:**

* To verify that the transactions performed at the HO and its Sub Offices are genuine and properly accounted for.

* To ensure **100% checking** of vouchers against the List of Transactions (LOT) / Consolidation.

* To prevent and detect frauds and irregularities.

(3) **Independence:** The SBCO staff shall be independent of the SB Branch staff. The PA (SBCO) shall not perform any counter duties in the SB Branch.

167. Receipt of Vouchers

(1) The SBCO shall receive the sealed bundles of vouchers daily from:

* (a) The **Head Office** Counter (from the Assistant Postmaster).

* (b) The **Sub Offices** (through the Sub Account Branch).

(2) **Contents:** Each bundle must contain:

* The **Consolidation Report** (Scheme-wise).

* All **Deposit** and **Withdrawal** vouchers (Pay-in-Slips, SB-7, SB-7A).

* **Long Book / List of Transactions** (if printed as per order).

(3) The SBCO In-charge shall sign the **Receipt Register** acknowledging the receipt of the bundles.

168. Checking of Vouchers (General)

(1) The SBCO Assistant shall carry out **100% checking** of the vouchers.

(2) **Checks to be performed:**

* (a) Whether the amount in the voucher matches the entry in the Consolidation/LOT.

* (b) Whether the voucher is stamped with the **Date Stamp** of the office.

* (c) Whether the **Account Number** and **Name** are correct.

* (d) Whether the voucher is signed by the **Depositor** and authorized by the **Supervisor**.

(3) **Arithmetical Check:** The totals in the Consolidation must tally with the totals in the **Daily Account / Cash Book**.

STATUTORY UPDATE (2025): Centralized Reconciliation

Impact of SB Order 12/2025 (CPRC):

With the establishment of the **Centralized Processing and Reconciliation Centre (CPRC)**:

- SBCO must verify that the **Transaction SOL** (where the transaction occurred) accounting matches the physical vouchers.
- Online transactions (Net Banking/Mobile Banking) are reconciled centrally, so SBCO focuses on **Counter Transactions**.

169. Verification of High Value & Closure Vouchers

(1) **Supervisor SBCO:** The Supervisor shall personally check:

- * (a) All **Withdrawal** vouchers of **Rs. 20,000** and above.
- * (b) All **Deposit** vouchers of **Rs. 50,000** and above.
- * (c) All **Account Closure** vouchers (Premature or Maturity).

(2) **Verification:**

- * Compare the signature on the voucher with the **Specimen Signature** in Finacle (using View Signature menu).
- * Ensure **KYC documents / PAN** copies are attached where mandatory.

170. Maintenance of Objection Register

(1) Any irregularity or discrepancy noticed during voucher checking shall be entered in the **Objection Register (Form SB-61)**.

(2) The Objection Register shall be sent to the Postmaster daily for his remarks and settlement of objections.

(3) **Common Objections:**

- * Missing Voucher.
- * Supervisor Authorization missing in the system or on voucher.
- * Voucher not signed by depositor.
- * Erasures or overwriting on vouchers.

171. Unposted Items

(1) Under CBS, "Unposted Items" (deposits accepted but not posted in the ledger) are rare as updating is real-time.

(2) However, if a manual correction is made or a voucher is found without a corresponding system entry (or vice versa), it shall be noted as an **Unposted Item** and monitored until rectified.

172. Preservation of Records (SBCO)

(1) The SBCO is the custodian of the financial records of the Savings Bank.

(2) **Preservation Period:**

* **Vouchers: 5 Years** (generally).

* **Long Book / Consolidation: 10 Years.**

* **Objection Register: 3 Years.**

* **Interest Sheets: 5 Years.**

(3) **Permanent Records:** Records relating to **Fraud Cases** or **Court Cases** must be preserved permanently until the case is finalized.

173. Reporting of Frauds

(1) If any transaction appears fraudulent (e.g., forged signature, manipulation of figures, fake passbook), the SBCO In-charge must immediately report it to:

* (a) The **Postmaster.**

* (b) The **Divisional Head.**

(2) **Sealing of Records:** The relevant vouchers and records must be withdrawn and kept in safe custody under **seal** immediately.

174. Preventive Measures

(1) **Rotation of Staff:** The Postmaster must ensure regular rotation of staff between the SB Counter, Treasury, and other branches to prevent vesting of interests.

(2) **Password Secrecy:** Sharing of Finacle **Passwords** is the leading cause of internal fraud. Strict disciplinary action shall be taken against officials sharing passwords.

(3) **Aadhaar Masking:** Ensure that no unmasked Aadhaar copies are stored in the voucher bundles (Risk of Data Privacy violation).

175. Fraud Risk Management Unit (FRMU) Alerts

(1) The **FRMU** at the Circle/Directorate level generates alerts for suspicious transactions (e.g., High velocity of transactions, Multiple accounts opened in short span).

(2) Role of Postmaster/SBCO:

* These alerts are sent to the HO for verification.

* The Postmaster, assisted by SBCO, must verify the genuineness of the alerted transactions and submit a report within the prescribed timeline.

* **HIARM Menu:** Use the **HIARM** menu in Finacle to review high-risk alerts before end of day.

🔔 STATUTORY UPDATE (2025): Digital Fraud Prevention

Biometric Auth for Staff:

To prevent unauthorized use of User IDs, the Department is rolling out **Biometric Login** for counter staff in sensitive roles.

(Ref: *SB Order No. 04/2025*)

CHAPTER 18: CUSTOMER SERVICE STANDARDS

176. Citizen's Charter (Time Norms)

(1) The Department of Posts is committed to providing responsive and efficient service to the depositors.

(2) The time norms prescribed in the Citizen's Charter for various Savings Bank services in Computerized (CBS) Offices are as follows:

Service	Time Standard (Working Days)
Opening of Account	Same Day (if cash) / 3 Days (if local cheque)
Closure of Account	Same Day
Issue of Cheque Book	Same Day (if stock available at counter)
Issue of Duplicate Passbook	Same Day (After verification)
Settlement of Deceased Claim	1 Working Day (Nomination exists)
	7 Working Days (Other cases)
Transfer of Account	1 Working Day (Electronic Transfer)

STATUTORY UPDATE (2025): Service Guarantee

Right to Public Services:

Under the "Sevottam" model adoption for 2025, any delay beyond the prescribed Citizen's Charter limits without valid reason (like system downtime reported via ticket) renders the service deficient.

(Ref: Postal Directorate Service Standards 2025)

177. Registration of Complaints

(1) A Complaint Book in **Form Cgt-1** shall be maintained in every Post Office and kept easily accessible to the public.

(2) Depositors may also register their complaints through:

* (a) **India Post Website** (Customer Care link).

* (b) **CPGRAMS** Portal (pgportal.gov.in).

* (c) **Toll-Free Number** (1800-266-6868).

* (d) **Manual Application** to the Postmaster/Superintendent.

(3) The Postmaster shall examine the Complaint Book **daily** and take immediate action to redress the grievance.

178. CPGRAMS (Centralized Public Grievance Redress and Monitoring System)

(1) **CPGRAMS** is the primary online platform for lodging and monitoring grievances related to Postal Services.

(2) Grievances received through CPGRAMS are routed electronically to the concerned Divisional Head/Postmaster for resolution.

(3) The remarks and the final reply must be uploaded to the system before closing the docket.

STATUTORY UPDATE (2024-2025): Timelines

Reduction in Disposal Time:

The Department of Administrative Reforms and Public Grievances (DARPG) has reduced the maximum timeline for disposal of public grievances from **45 days** to **30 days**.

- **Standard Target: 21 Days.**

- **Appeal:** If the complainant is dissatisfied, an appeal can be filed within **30 days** of closure.

(Ref: SB Order No. 06/2024 / DARPG Guidelines 2024)

179. Handling of Failed Transactions (ATM/Digital)

(1) In case of failed ATM transactions (Account debited but cash not dispensed) or failed Mobile/Net Banking transactions:

- * The depositor should lodge a complaint immediately with the Transaction ID.
- * The Post Office (CPC/Switch Centre) must reconcile the transaction.

(2) **Auto-Reversal:** In CBS/Interoperable systems, failed transactions are generally auto-reversed within **T+5** (Transaction Day + 5 days) working days.

STATUTORY UPDATE (2025): Compensation Policy

Harmonization with RBI TAT:

Department of Posts has adopted the RBI Turn Around Time (TAT) and Compensation norms for failed transactions:

- **ATM Cash Out:** Reversal within **T+5 days**. Compensation of **Rs. 100 per day** of delay beyond T+5.
- **Card to Card Transfer:** Reversal within **T+1 day**. Compensation of **Rs. 100 per day** beyond T+1.

(Ref: SB Order No. 11/2025 dated 02.06.2025)

180. Facilities for Senior Citizens and Differently Abled

(1) **Queue:** A separate queue or priority service shall be provided to **Senior Citizens** and **Differently Abled** persons at the Savings Bank counter.

(2) **Form Filling:** The counter staff shall assist illiterate or differently abled depositors in filling up the forms (Pay-in-slip, Withdrawal form).

(3) **Life Certificate:** For Pensioners/SCSS holders, the facility of **Jeevan Pramaan** (Digital Life Certificate) shall be made available at the counter.

181. Doorstep Banking (DSB)

(1) Doorstep Banking services are provided to eligible customers (Senior Citizens > 70 years, Differently Abled) upon request.

(2) Services Covered:

- * (a) Cash Delivery (Withdrawal).
- * (b) Pick up of Cash/Instruments (Deposit).
- * (c) Delivery of Cheque Book/Passbook.

(3) **Charges:** Prescribed service charges (e.g., **Rs. 60 + GST**) are applicable per visit.

🔔 STATUTORY UPDATE (2025): IPPB Integration

DSB via IPPB:

The Department now leverages the **India Post Payments Bank (IPPB)** network (GDS/Postmen) to provide Doorstep Banking services for **POSB Account holders** also.

- **Aadhaar Enabled Payment System (AePS):** POSB customers can withdraw cash at their doorstep using AePS through the Postman.

(Ref: *SB Order No. 02/2025*)

182. Right to Information (RTI) in POSB

(1) **Disclosure:** Depositors have the right to seek information regarding their **own accounts** under the RTI Act, 2005.

(2) **Third Party Information:** Information regarding the account of a **Third Party** (another depositor) is held in a **Fiduciary Relationship**.

* Such information is **exempt from disclosure** under Section 8(1)(e) and 8(1)(j) of the RTI Act, unless a larger public interest is established.

* The CPIO (Central Public Information Officer) must deny such requests.

183. Confidentiality and Privacy

(1) The staff of the Post Office is bound by the **Official Secrets Act** and the conduct rules regarding the secrecy of bank accounts.

(2) The balance or transaction details of an account shall **not** be disclosed to any person other than the Depositor, except:

* (a) To the **Income Tax Authority** (under statutory notice).

* (b) To a **Court of Law** (under summons).

* (c) To the **Police/CBI** (under written requisition for investigation).

184. Customer Rights Policy

(1) The Department adopts the Model Customer Rights Policy comprising:

* **Right to Fair Treatment:** No discrimination on basis of gender, age, religion, caste.

* **Right to Transparency:** Terms and conditions, interest rates, and charges must be displayed clearly.

* **Right to Suitability:** Products sold should be suitable to the customer's needs (e.g., not selling a 5-year lock-in product to a person needing liquidity without explanation).

* **Right to Privacy:** Protection of personal data.

185. Consumer Protection Act, 2019

(1) The services provided by the Post Office Savings Bank fall under the definition of "Service" in the **Consumer Protection Act, 2019**.

(2) **Liability:** The Department is liable for "Deficiency in Service" in cases of:

* Delay in settlement of claims.

* Loss of Cheque/Instrument.

* Unauthorized withdrawal due to negligence of staff.

(3) **Jurisdiction:** Depositors can approach the **District Consumer Disputes Redressal Commission** for compensation if their grievance is not resolved departmentally.

CHAPTER 19: DIGITAL BANKING SERVICES**186. Department of Posts Internet Banking (DOP-INB)**

(1) **Eligibility:** Internet Banking facility is available to:

* (a) Single Account holders.

* (b) Joint Account holders ('A' or 'B' type).

* (c) Valid Savings Account (POSA) holders with a linked ATM card (initially required for activation, requirement relaxed for View Only).

(2) **Registration:** The depositor shall submit an application in **Form ATM/INB-1** at the home branch.

(3) **Services Available:**

* **View Only:** Balance enquiry, Statement generation.

* **Transaction Rights:** Fund transfer (Self/Third Party), Deposit into RD/PPF/SSA accounts, Opening of TD/RD/NSC/KVP accounts online.

(4) **Activation:** After submitting the form, the User ID is sent via SMS/Email. The user must activate the account using the "New User Activation" link on the e-Banking portal.

STATUTORY UPDATE (2025): Transaction Limits

Enhanced Online Limits:

- **Intra-Operable (Within DOP):** Up to Rs. 5,00,000 per day.
- **Inter-Operable (NEFT/RTGS):**
 - **NEFT:** Up to Rs. 25,00,000 (Twenty-Five Lakhs) per transaction/day.
 - **RTGS:** Minimum Rs. 2,00,000, Maximum Rs. 25,00,000 per day.

(Ref: SB Order No. 09/2024 & RBI Payment System Notification)

187. India Post Mobile Banking

(1) **Application:** The facility is available through the "India Post Mobile Banking" App on Android/iOS.

(2) **Eligibility:** Same as Internet Banking. The user must have a valid **CIF** and **POSB Account**.

(3) **Features:**

* **Mini Statement:** Last 10 transactions.

* **Fund Transfer:** Own accounts and Third Party (Beneficiary must be added).

* **Requests:** Cheque Book request, Stop Payment, ATM Card Block.

(4) **Security:** The app is secured by **MPIN** (Login) and **TPIN** (Transaction).

188. ATM / Debit Card Facility

(1) **Issuance:** ATM-cum-Debit Cards are issued to holders of:

* Post Office Savings Account (POSA).

* Current Accounts (if introduced).

(2) Charges:

* **Issuance Fee: Free** (Initial).

* **Replacement Fee: Rs. 300 + GST.**

* **Annual Maintenance: Rs. 125 + GST** (from 2nd year onwards).

(3) Usage Limits:

* **Cash Withdrawal (DOP ATM): Rs. 25,000** per transaction / per day.

* **Cash Withdrawal (Other Bank ATM): Rs. 10,000** per transaction.

* **Free Transactions:** 5 Free transactions (Financial + Non-Financial) per month at Other Bank ATMs (3 in Metros).

 STATUTORY UPDATE (2024-2025): Card Control

Mandatory Card Control Features:

Users must use the Mobile Banking App or IVR to **Enable/Disable** specific channels (ATM/POS/Online) and set **Transaction Limits** for their debit cards to prevent fraud. Cards are issued "Disabled for Online/Contactless" by default.

(Ref: SB Order No. 14/2024)

189. Electronic Fund Transfer (NEFT / RTGS)

(1) **Availability:** NEFT and RTGS services are available at all CBS Post Offices and through Online Channels (INB/MB).

(2) **IFSC Code:** The Indian Financial System Code (IFSC) for all POSB Accounts across India is **IPOS0000DOP**.

(3) Charges (Service Charges):

* **Online (INB/MB): Free of Cost** (No charges).

* **Counter (Branch):** Charges apply based on the amount slab (e.g., Rs. 2.50 to Rs. 25 + GST).

(4) **Settlement:** Transactions are settled through the **IPPB Nodal Account** mechanism linked with RBI.

190. IPPB Linkage (Sweep-in / Sweep-out)

(1) A Post Office Savings Account (POSA) can be linked to an **India Post Payments Bank (IPPB)** Account.

(2) **Sweep-out:** Any balance in the IPPB account exceeding the regulatory limit (currently **Rs. 2,00,000**) is automatically transferred (swept-out) to the linked POSA at the end of the day.

(3) **Sweep-in:** If the balance in IPPB is insufficient for a transaction, funds can be swept-in from the linked POSA (subject to user authorization/setup).

(4) This linkage provides POSA customers access to **AePS** (Aadhaar Enabled Payment System) and **UPI** via the IPPB App.

191. SMS Banking & Alerts

(1) **Mandatory Alerts:** SMS alerts are sent to the registered mobile number for:

* All **Debits** and **Credits** of **Rs. 50** and above (or as configured).

* Creation of New CIF/Account.

* ATM/POS Transactions.

(2) **SMS Banking:** Users can send specific keywords (e.g., "REGISTER", "BAL", "MINI") to the designated short-code/number (**7738062873**) to get information.

(3) **Charges:** Annual SMS Alert charges of **Rs. 12** + GST are deducted from the account (waived for certain premium accounts/senior citizens as per latest order).

192. Security Guidelines for Digital Banking

(1) **Phishing Protection:** The Department never asks for MPIN, TPIN, OTP, or Passwords via Call/SMS/Email.

(2) **Virtual Keyboard:** Customers are advised to use the Virtual Keyboard for logging into Internet Banking on public computers.

(3) **Cooling Period:** On adding a new Beneficiary, a **cooling period** (e.g., 4 hours) applies before full funds transfer is allowed.

CHAPTER 20: APPENDICES & MISCELLANEOUS

193. List of Important Forms (Revised 2025)

New Form No.	Description	Old Form No. (Reference)
SB-eKYC-1	Application for Account Opening (e-KYC)	N/A (New)
SB-3	Application for Account Opening (Non-Biometric)	SB-3
SB-103	Pay-in-Slip	SB-103
SB-7	Application for Withdrawal	SB-7
SB-7A	Application for Closure of Account	SB-7A
SB-7B	Application for Premature Closure (SCSS/TD)	SB-7B
SB-4	Application for Extension of Account	SB-4
SB-41	Application for Duplicate Passbook	SB-41

SB-13	Application for Pledge/Release of Security	SB-13
SB-83	Application for Automatic Transfer (Standing Instruction)	SB-83
SB-46	Application for Grant of Loan (RD/PPF)	SB-46

194. Glossary of CBS Terms

- (1) **SOL ID:** Service Outlet ID (Unique 8-digit code for each Post Office).
- (2) **CIF:** Customer Identification File.
- (3) **SAN:** Savings Account Number (Unique 10/12 digit Account No).
- (4) **HO-DOP:** Head Office of Department of Posts (The entity name in Finacle).
- (5) **SOLID + 0382:** The Office Account used for Cheque Clearing/Remittance reconciliation.
- (6) **HIARM:** Menu for High Value Account Regularization Monitoring.
- (7) **HAF:** Menu for Account Finding/Inquiry.

195. Power to Relax

- (1) Where the Director General (Posts) is satisfied that the operation of any of these rules causes undue hardship in any particular case, he may, by order, for reasons to be recorded in writing, dispense with or relax the requirements of that rule to such extent and subject to such exceptions and conditions as he may consider necessary.
- (2) Such relaxation shall not be inconsistent with the statutory provisions of the Government Savings Promotion General Rules, 2018.